

Credit Strategy Weekly Update

High Yield and Leveraged Loan Research

- High-yield bond yields surged 36bp to 8.10% and spreads widened 9bp over the past week to a 5-week high 312bp as investors absorbed strong economic data, a spike in rates, and the 2nd most active week for capital markets since April. This week's \$17.6bn of issuance included the 4th largest transaction in the HY market's history (\$11bn) and boosted September issuance to \$38.2bn, including the 2nd largest non-refi issuance (\$24.2bn) since June 2020. Meanwhile, this week's strong PMI release (output consistent with 5% GDP growth, employment gauge high since 2022, input cost inflation largest m/m rise since 2020) has lifted the market's assumed terminal Fed Funds rate to 4.75% (versus 5.50% peak in 2022). **HY bonds are now providing a -1.62% monthly loss, the largest since September 2022, which reduces the YTD gain to +1.17%.** And BB, B, and CCC bond spreads are -13bp, -14bp, and +238bp YTD, respectively.
- Despite the largest weekly setback for prices since June (-\$0.12 w/w), leveraged loans are outperforming HY bonds by the widest margin in 4 years in September (+203bp) as strong economic data and hawkish Fed rhetoric has produced a 60bp rise in the forward curve and yields to a 3-year takeout which now reside at a multi-year high 9.50%. Notably, loan funds reported their largest weekly inflow since February 2025 (\$1.3BN). Meanwhile, \$16.3bn of issuance this week lifted September to \$59.4bn (\$17.3bn net) with \$27.4bn (\$12.7bn) left on the forward calendar. Loan spreads widened 5bp this week to 480bp (3yr) and are a mere 2bp wider MTD. Despite outperforming HY, the gap in yields for the performing component of each index stands at 103bp apart versus a 94bp one and three-year average. The Loan index is posting a 41bp gain MTD which lifts the YTD gain to 3.69%.
- This week we published [2026 Leveraged Loan Credit Fundamentals](#) which includes 701 US loan borrowers, 431 of which are private companies. **In aggregate, credit metrics for US Leveraged Loan issuers strengthened during 2Q despite continued erosion in CCCs.** And the rating agency narrative is improving with the LTM par and issuer upgrade-to-downgrade ratios rising in August to a high since 4Q22. **The most notable observations include the strongest Revenue (+10.8% yoy) and EBITDA (+6.8% yoy) growth in 3yrs.** EBITDA growth for BBs was +7.4% y/y, compared with +5.5% y/y growth for B1s, +7.2% y/y growth for B2s, +12.2% y/y growth for B3s, and a contraction for CCCs (-3.0% y/y). **EBITDA growth was strongest for Energy (+58% y/y), Tech (+18%), and Chems (+18%) and weakest for Transports (-26%), Cable (-4%), and Housing (-2%).** With LTM interest expense (+1.9% yoy) stable, **coverage metrics improved for a 7th consecutive quarter to a 3yr high 3.25x after bottoming at 2.86x in 3Q24.** Coverage for BBs is 4.55x, for B1 is 3.29x, for B2 is 2.39x, for B3 is 1.88x, and CCC is 1.39x. **Notably, both the sub-1x (5%) and sub-2x (30%) covered portion of the loan universe are at a 4yr low and below 4Q23's high (10%, 49%).** With debt growth reaching an 18Q high (+7.6% y/y), leverage metrics are hovering near a high since 2022. Leverage for Loan issuers rose +0.02x to 4.94x, which is only 0.07x below 4Q25's 3-year high. **Leverage for BBs is 4.50x versus 4.38x for B1s, which rises to 5.63x for B2s, 6.66x for B3s, and 8.53x for CCCs.** Lastly, balance sheets for software companies are weaker than the overall market (coverage 2.44x, leverage 5.46x).

North America Corporate Credit - Distressed, High Yield and Leveraged Loans Strategy

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North America Credit Research
Credit Strategy Weekly Update
25 September 2026

J.P.Morgan

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Credit Strategy Update

High-yield bond yields surged 36bp and spreads widened 9bp over the past week to a five-week high as investors absorbed strong economic data, a spike in rates, and the second most active week for capital markets since April. This week's macro highlight was the highest reading on the September US Flash PMI since July 2021, **an outcome which was consistent with annualized GDP growth of around 5%.** New orders accelerated across both sectors and hiring picked up sharply, with the PMI gauge of employment growth reaching its fastest pace since mid-2022 ahead of next week's non-farm payrolls. **The report, however, also pointed to a concerning firming in inflationary pressures.** Input cost inflation posted its largest monthly increase since 2020 and accelerated to its highest level since late 2022. And with this week's Fed speak decidedly hawkish, **there are now ~70% odds the Fed hikes rates in October** (vs 50% pre-release) with 3.5 hikes now priced in by mid-2027 (i.e. 4.75% terminal FF versus 5.50% in 2022). Meanwhile, **retail inflows resurfaced (+\$541mn)** following the prior week's largest outflow since March totaling -\$2.5bn. **High-yield bond yields and spreads rose 36bp and 9bp over the past week to 8.10% and 312bp respectively, which are up 70bp and 13bp MTD and are up 132bp and down 2bp YTD.** Notably, yields are at a high since April 2025 and spreads have widened to a 5-week high. For reference, spreads touched a post-GFC low of 295bp on January 22nd and a YTD high of 373bp on March 30th. Single-Bs (-0.88% w/w) outperformed BBs (-0.95% w/w) and CCCs (-1.00% w/w). And from a sector stance, Technology (-0.25% w/w) and Paper/Pack. (-0.37% w/w) outperformed the index, whereas Cable/Sat. (-1.66% w/w) and Media (-1.44% w/w) underperformed. By rating, BB bond yields are at 17-month high of 6.88% (+35bp w/w), B yields are at nearly 6-month high of 8.02% (+36bp w/w), and CCC yields are at 34.5-month high of 14.91% (+46bp w/w). **BB spreads are 190bp (+8bp w/w, +10bp MTD), B spreads are 309bp (+9bp w/w, +7bp MTD), and CCC spreads are at 34-month high of 995bp (+20bp w/w, +83bp MTD).** BB spreads are 7% and B spreads are 6% above their post-GFC low, while CCC spreads are 79% above. **For context, BB, B, and CCC bond spreads are -13bp, -14bp, and +238bp year-to-date, respectively.** HY/IG spreads of 232bp (+9bp w/w, +14bp MTD) are 6bp below the 12-month average, whereas BBB/BB spreads of 93bp (+8bp w/w, +11bp MTD) are 8bp below the 12-month average.

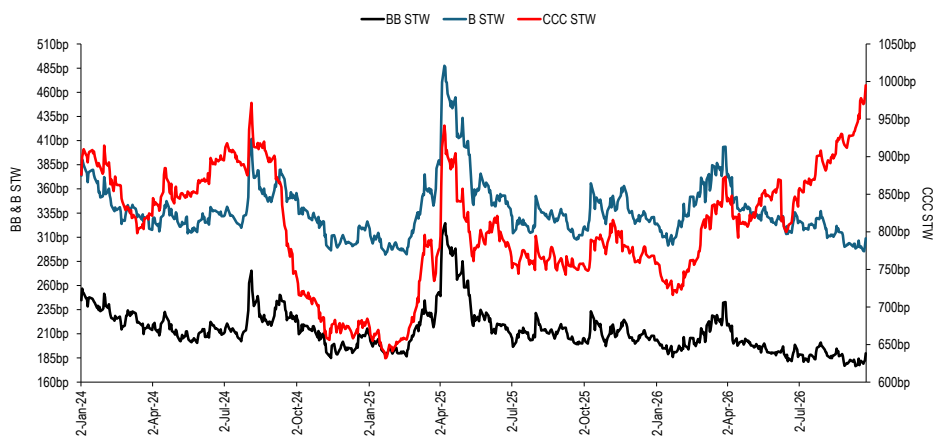
High-yield bond spreads widened 9bp this week to a 5-week high

Historical Credit Spreads										
	HY	IG	BBB	BB	B	CCC	HY/IG	BB/BBB	B/BB	CCC/B
Current	312bp	80bp	97bp	190bp	309bp	995bp	232bp	93bp	119bp	686bp
YTD Change	-2bp	0bp	-3bp	-13bp	-14bp	238bp	-2bp	-10bp	-1bp	252bp
12M High	373bp	95bp	116bp	243bp	404bp	995bp	279bp	133bp	161bp	686bp
12M Low	295bp	73bp	92bp	177bp	296bp	716bp	216bp	78bp	112bp	400bp
1 Yr Average	319bp	81bp	100bp	200bp	333bp	821bp	238bp	100bp	133bp	487bp
5 Yr Average	385bp	107bp	132bp	252bp	399bp	850bp	278bp	120bp	147bp	452bp
10 Yr Average	414bp	114bp	142bp	273bp	422bp	854bp	300bp	131bp	150bp	431bp
15 Yr Average	456bp	127bp	159bp	302bp	457bp	877bp	329bp	142bp	155bp	420bp
US Recession Average	971bp	252bp	355bp	568bp	901bp	1977bp	716bp	245bp	333bp	1076bp
US Non Recession Average	493bp	116bp	167bp	317bp	491bp	956bp	394bp	168bp	174bp	465bp
Post gfc low	295bp	73bp	92bp	177bp	292bp	557bp	214bp	78bp	93bp	198bp
All time low	251bp	73bp	92bp	159bp	228bp	398bp	163bp	22bp	18bp	166bp
% Above/Below 12M Avg.	-2%	-1%	-3%	-5%	-7%	21%	-2%	-8%	-11%	41%
% Above 12M Low	6%	10%	6%	8%	4%	39%	8%	19%	6%	72%
% Above Post-GFC Low	6%	10%	6%	8%	6%	79%	8%	19%	29%	247%

Source: J.P. Morgan.

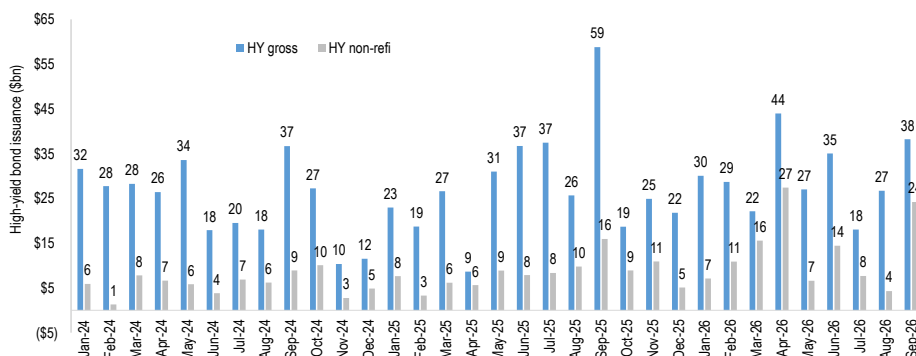
High-yield bonds are providing a loss of -1.62% in September, with Single-Bs (-1.46%) outperforming BBs (-1.64%) and CCCs (-2.23%). Notably, September is tracking its worst monthly loss since September 2022. Technology (-0.75%) has been the strongest performer in September, followed by Paper/Pack. (-1.09%) and Metals/Mining (-1.11%) with Cable/Sat. (-2.53%), Telecom (-2.52%) and Housing (-2.30%) lagging. High-yield bonds are now providing a +1.17% gain in 2026, with Single-Bs (+2.08%) outperforming BBs (+0.94%) and CCCs (-0.81%). Energy (+4.37%) has been the strongest performer in 2026, followed by Chemicals (+4.13%) and Healthcare (+2.84%), with Cable/Sat. (-2.85%) and Paper/Pack. (-1.45%) lagging. **Meanwhile, 13 deals priced this week for \$17.6bn, which takes September's total issuance to \$38.2bn (\$24.2bn net).** Notably, **September is the second most net issuance syndicated since June 2020.** Currently, there are no active deals in the market. Note September has historically been the most active month for HY issuance, averaging \$35bn/month since 2010. Year-to-date, high-yield bond issuance totals \$269.8bn (\$118.2bn ex-refi), which compares to \$251.8bn (\$71.3bn) over the same period a year ago.

BB, B, and CCC bond spreads are -13bp, -14bp, and +238bp year-to-date, respectively



Source: J.P. Morgan.

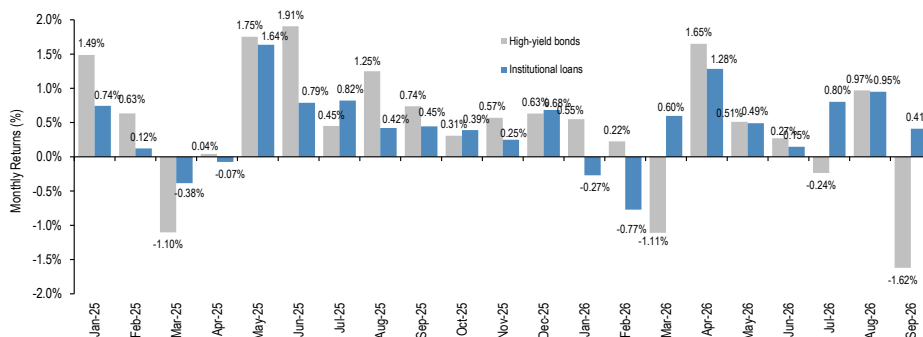
September's \$24bn of non-refi related issuance is the second largest since 2020



Source: J.P. Morgan.

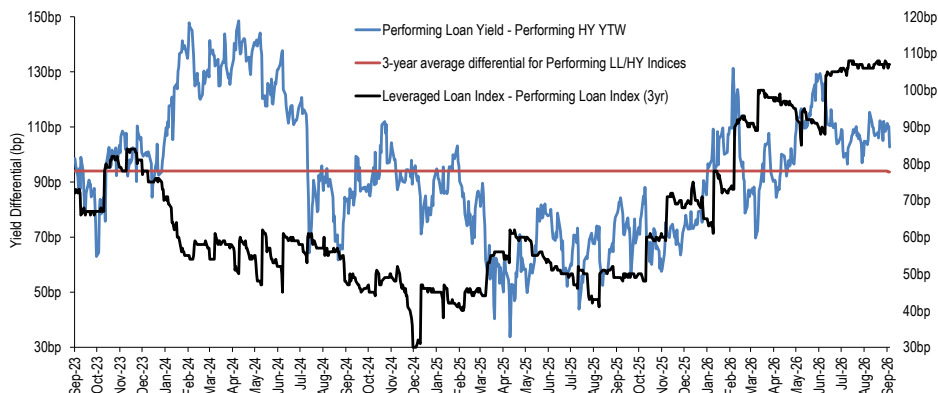
Despite the largest weekly setback for prices since June (-\$0.12 w/w), the leveraged loan asset is outperforming high-yield bonds by the widest margin in four years in September as strong economic data and hawkish Fed rhetoric has produced a 60bp rise in the forward curve and yields to a 3-year takeout which now stand at a multi-year high 9.50%. Notably, leveraged loan funds reported their largest weekly inflow since February 2025 (\$1.3BN). Leveraged loan prices declined by -\$0.12 over the past week to \$95.73 (-\$0.85 YTD) with Ba1/Ba2/Ba3 prices decreasing -\$0.11 to \$99.41, B1 prices decreasing -\$0.12 to \$99.00, B2 prices decreasing -\$0.16 to \$97.64, B3 prices decreasing by -\$0.10 to \$95.21, and Caa1/Caa2/Caa3 prices decreasing by -\$0.37 to \$70.39. The Leveraged Loan index provided a weekly return of +0.01% with BB, B1, B2, B3, and CCC loans returning +0.00%, +0.00%, -0.03%, +0.06%, and +0.04%, respectively. And from a sector stance, Paper/Pack. (+0.21% w/w) and Services (+0.16% w/w) outperformed the index, whereas Cable/Sat. (-0.99% w/w) and Telecom (-0.88% w/w) underperformed. **Leveraged loan yields and spreads (3yr) rose 29bp and 5bp over the past week to 9.50% and 480bp, respectively, which are up +58bp and +2bp MTD and are up 179bp and 37bp year-to-date.** Software spreads widened 7bp over the past week to 742bp (to maturity), which is 223bp wider YTD and 83bp inside its 52wk high. Leveraged Loan spreads ex-Software are now 434bp, which is only 17bp above the year-to-date low and 5bp wider YTD. The yield for the Leveraged Loan index of 9.50% is 141bp above the HY bond index (8.10%), which compares to an average of 121bp above over the past year. **Note the gap in yields for the performing component of each index stands at 103bp versus a 94bp one and three-year average.** Note our CLO colleagues produced the following [CLO Trading in Leveraged Loans: Sell Me Maybe](#) which was a nice complement to our recently published CLO Holdings Analysis.

Loans are outperforming HY bonds in September by the widest margin in four years



Source: J.P. Morgan.; S&P/IHS Markit

Given a 60bp rise in the forward curve, the gap in yields for the performing component of each index stands at 103bp versus a 94bp one and three-year average



Source: J.P. Morgan.; S&P/IHS Markit

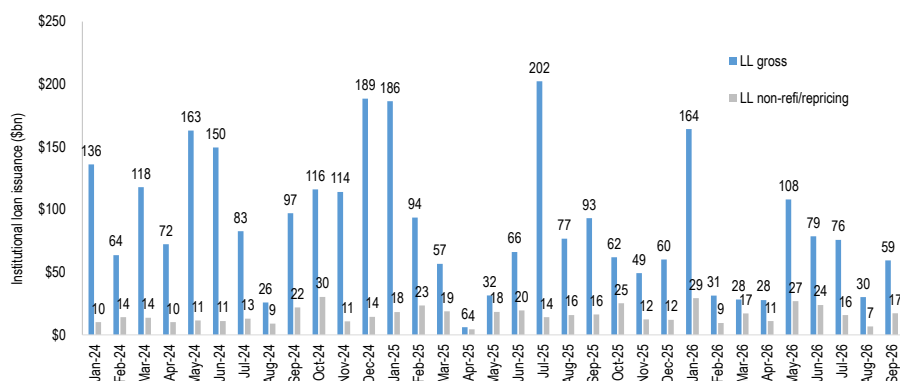
The Leveraged Loan index is providing a +0.41% gain in September with BB, B1, B2, B3, and CCC loans returning +0.31%, +0.46%, +0.72%, +0.54%, and -1.49%, respectively. Notably, loans are outperforming HY by the widest margin in 4 years. Technology (+1.09%) has been the strongest performer in September, followed by Chemicals (+0.74%) and Paper/Pack. (+0.72%) with Telecom (-3.20%), Cable/Sat. (-0.92%) and Housing (-0.75%) lagging. The Leveraged Loan index is posting a gain of +3.69% year-to-date (+4.29% ex-Software) with Moody's BB, B1, B2, B3, and CCC-rated loans returning +3.71%, +4.40%, +3.56%, +4.52%, and -1.26%, respectively. Chemicals (+7.40%) has been the strongest performer in 2026, followed by Consumer Prod. (+7.39%) and Media (+6.77%), with Telecom (+0.31%), Technology (+0.34%) and Housing (+0.65%) lagging. **Meanwhile, the % of leveraged loans trading above Par is at 41.0%**; other price bucket percentages are as follows: sub-\$80, \$80-\$89.99, \$90-\$94.99, \$95-\$97.99, \$98-\$98.99, and \$99-\$99.99 are now at 4.40%, 3.16%, 4.47%, 10.86%, 8.47%, and 27.69%, respectively. September's CLO volume totals \$28.1bn (\$9.4bn ex-refi/reset) following August's \$44.6bn (6-month high \$19.0bn ex-refi reset) which has year-to-date CLO volume at \$346.2bn (\$122.8bn ex-refi/resets), which compares to \$388.0bn (\$146.7bn ex-refi/resets) YTD25. **Meanwhile, 17 deals priced this week for \$16.3bn which takes September's total issuance to \$59.4bn (\$17.3bn net).** Notably, LBO volume totaling \$11.2bn in September is a 6-month high. **The forward calendar (in-market) now stands at 20 deals totaling \$27.4bn, \$12.7bn of which is new money with the balance going toward refinancing (\$10.2bn) and repricing (\$4.4bn).** Note capital markets for loans were active last September (\$93bn/\$16bn net) and October (\$62bn/\$25bn net) alongside steady performance. YTD institutional loan issuance totals \$603.8bn, which includes \$247.1bn of repricing (41%), \$199.2bn of refinancing (33%), and \$157.5bn of non-refi/repricing (26%) and compares to \$792.6bn gross (-24% y/y) and \$145.3bn net (+8% y/y) over the same period a year ago.

Leveraged loan spreads widened 5bp over the past week and are 37bp wider year-to-date

	LL	BB	B1/B2	B3 or lower	B1/B2 vs BB	B3 or lower vs B1/B2	B1	B2	B3	CCC	B3 vs B1/B2	B2 vs B1	CCC/B3
Current	490bp	258bp	387bp	886bp	130bp	499bp	327bp	414bp	594bp	1984bp	206bp	87bp	1390bp
YTD Change	37bp	22bp	29bp	134bp	7bp	104bp	6bp	39bp	65bp	462bp	36bp	33bp	397bp
12M High	528bp	272bp	457bp	890bp	186bp	499bp	394bp	486bp	650bp	1984bp	236bp	99bp	1390bp
12M Low	430bp	230bp	351bp	691bp	117bp	330bp	310bp	369bp	489bp	1405bp	130bp	46bp	906bp
1 Yr Average	473bp	250bp	396bp	814bp	146bp	418bp	345bp	419bp	574bp	1696bp	178bp	74bp	1125bp
5 Yr Average	503bp	296bp	456bp	847bp	160bp	391bp	403bp	484bp	653bp	1498bp	198bp	81bp	844bp
10 Yr Average	491bp	306bp	462bp	889bp	156bp	428bp	415bp	492bp	672bp	1491bp	210bp	76bp	819bp
15 Yr Average	503bp	331bp	489bp	977bp	158bp	489bp	439bp	541bp	705bp	1537bp	216bp	102bp	832bp
US Recession Average	1058bp	764bp	1168bp	1754bp	404bp	586bp	1078bp	1319bp	1582bp	2102bp	414bp	240bp	520bp
US Non Recession Average	503bp	345bp	491bp	937bp	146bp	446bp	446bp	543bp	699bp	1396bp	208bp	98bp	697bp
Post gfc low	379bp	230bp	351bp	606bp	7bp	193bp	310bp	369bp	473bp	659bp	-79bp	-23bp	-20bp
All time low	214bp	185bp	230bp	242bp	7bp	-9bp	218bp	250bp	230bp	241bp	-79bp	-23bp	-20bp
% Above/Below 12M Avg.	1%	3%	-2%	9%	-11%	19%	-5%	-1%	3%	17%	16%	17%	24%
% Above 12M Low	12%	12%	11%	28%	11%	51%	5%	12%	21%	41%	59%	87%	53%
% Above Post-GFC Low	27%	12%	11%	46%	1717%	159%	5%	12%	25%	201%	360%	470%	6940%

Source: J.P. Morgan.

LBO volume totaling \$11.2bn in September is a 6-month high



Source: J.P. Morgan.

Weekly Themes

2Q26 Leveraged Loan Credit Fundamentals

The following quarterly analysis of leveraged loan credit fundamentals encompasses the financials of 701 US loan borrowers, excluding the Financials and Utility sectors, which account for 71% of 990 US loan borrowers (ex. Fins/Utilities). Specifically, it encompasses 270 public companies, which account for 99% of the outstanding public loan borrower base, and 431 private companies, which account for 60% of 718 private US loan borrowers. The public financial data is derived from J.P. Morgan high-yield credit analysts and Capital IQ and the private financial data is provided by Bixby Research and Analytics Inc. Note, our historical data for the public cohort dates to 2008, while the private data only dates to 4Q19. Lastly, breaking down the 701 loan borrowers into capital structure type, the analysis encompasses 246 crossover issuers (both bonds and loans), which accounts for 89% of the 276 crossover US companies, and 455 loan-only borrowers, which accounts for 64% of the 714 US loan-only borrowers in the market. We also refer to bond-only issuer metrics, which encompass 279 such issuers, or 69% of the 406 US high-yield bond-only issuers (ex-Fins/Utilities).

Leveraged Loan Credit Metric Highlights

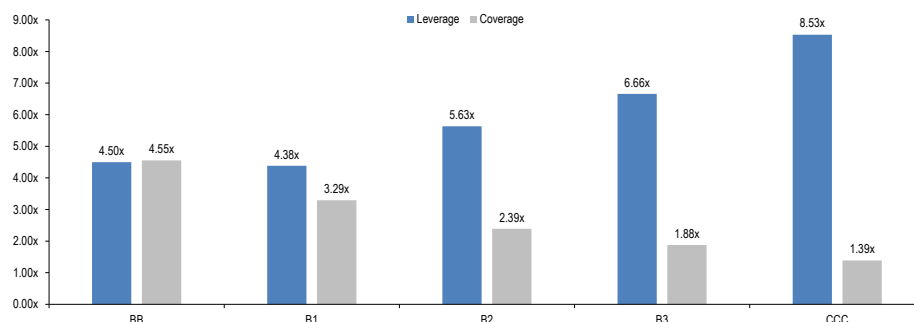
Quarterly 2Q26	Q/Q	Y/Y	LTM as of 2Q26	Q/Q	Y/Y
Revenue	10.0%	10.8%	Revenue	2.7%	8.0%
EBITDA	17.6%	6.8%	EBITDA	1.8%	5.4%
Capex	5.5%	24.4%	Capex	5.5%	19.2%
Interest expense	2.2%	1.9%	Interest expense	0.5%	3.9%
Total Debt	1.9%	7.6%	Cash & Equivalents	3.3%	12.4%
LTM	2Q26	1Q26	2Q25	Q/Q	Y/Y
Leverage (Debt/EBITDA)	4.96x	4.94x	5.03x	0.02x	-0.07x
Net Leverage ((Debt-Cash)/EBITDA)	4.47x	4.46x	4.57x	0.01x	-0.10x
EBITDA Margin	17.8%	17.6%	17.9%	0.1%	-0.1%
Coverage (EBITDA/Net Int Exp)	3.25x	3.15x	3.00x	0.09x	0.24x
EBITDA-Capex/Net Int Exp	2.08x	2.23x	2.11x	-0.15x	-0.03x

Sources: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

Comparative metrics between public and private companies					
	Public	Private	Bond & Loan	Loan-Only	All loans
Number of companies	270	431	246	455	701
Total debt (\$bn)	\$1,275.3	\$967.2	\$1,398.7	\$814.7	\$2,242.6
Average size (\$bn)	\$4.7	\$2.2	\$5.7	\$1.8	\$3.2
Percent of cohort outstanding (#)	99.3%	60.0%	89.1%	63.7%	70.8%
Financial Metrics					
Leverage (Debt/EBITDA)	4.54x	5.65x	4.90x	5.06x	4.96x
EBITDA Margin	17.7%	17.8%	18.1%	17.5%	17.8%
Coverage (EBITDA/Net Int Exp)	4.36x	2.29x	3.50x	2.83x	3.25x

Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

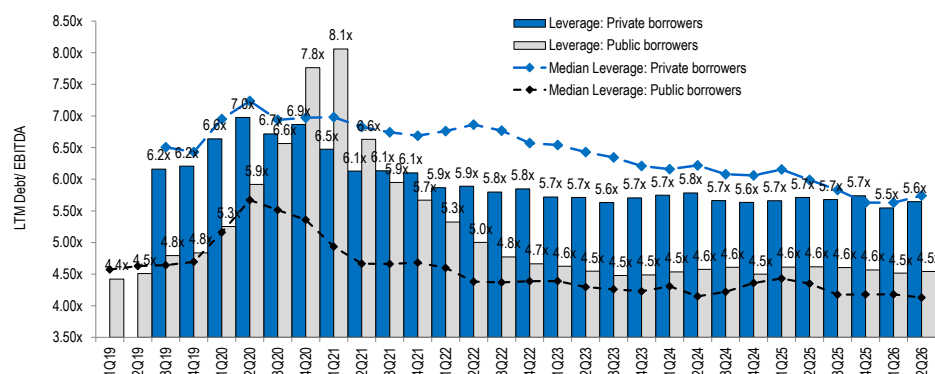
Leverage and Coverage by Rating



Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

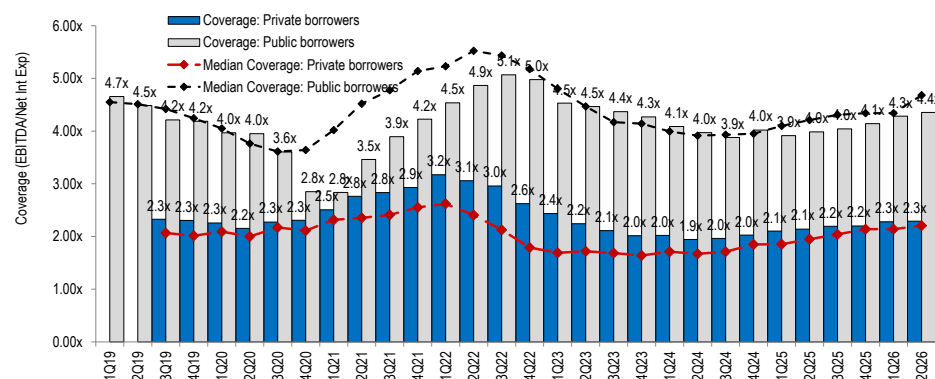
This week we published [2Q26 Leveraged Loan Credit Fundamentals](#), which recaps second-quarter credit metrics for leveraged loan borrowers, inclusive of both public and private loan companies. **In aggregate, credit metrics for US Leveraged Loan issuers strengthened during 2Q despite continued erosion in CCCs.** And the rating agency narrative for leveraged loans is improving at the margin, with the LTM par and issuer upgrade-to-downgrade ratios rising in August to a high since 4Q22. **The most notable observations include the strongest Revenue and EBITDA growth in three years.** Revenue and EBITDA growth were strongest for B3s and contracted for CCCs, and there was also a good deal of dispersion at the sector level. **Coverage metrics also improved for a seventh consecutive quarter to a 3-year high** after eroding steadily between 2Q22 and 3Q24. Meanwhile, LTM debt growth (+7.6%) has reached its highest level since 1Q22. And presumably reflecting optimism on the economy, LTM capital expenditure increased on a year-ago basis at the highest rate since 2Q23. **As such, Leverage is only moderately below a high since 2022.**

Leverage for private loan borrowers remains more than a full turn higher than for public companies; both cohorts saw leveraged increase slightly during the quarter



Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

Coverage ratios for public companies is more than 2x higher compared with those of private companies coverage ratios for public companies is 2x higher



Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

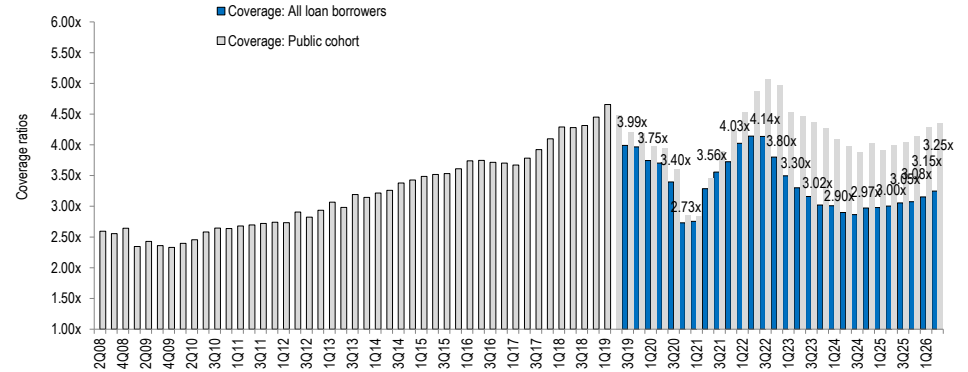
Leveraged Loan Credit Metric Highlights

Quarterly 2Q26	Leveraged Credit	Loan only	Bond & Loan	Bond only
Revenue q/q	1.2%	5.9%	0.1%	-0.2%
Revenue y/y	8.5%	12.7%	8.0%	6.7%
EBITDA q/q	2.9%	9.3%	-2.2%	5.1%
EBITDA y/y	7.4%	11.7%	5.2%	7.1%
Capex q/q	9.3%	25.9%	-7.7%	17.2%
Capex y/y	33.9%	66.2%	10.8%	41.6%
Interest expense q/q	1.3%	2.9%	-1.2%	4.0%
Interest expense y/y	3.7%	0.8%	3.4%	8.2%
Total Debt q/q	1.8%	2.0%	1.7%	1.8%
Total Debt y/y	7.5%	9.5%	6.2%	7.8%
LTM Ratios				
Leverage (Debt/EBITDA)	4.72x	5.06x	4.90x	4.26x
Net Leverage ((Debt-Cash)/EBITDA)	4.14x	4.57x	4.42x	3.48x
EBITDA Margin	15.5%	17.5%	18.1%	12.2%
Coverage (EBITDA/Net Int Exp)	3.68x	2.83x	3.50x	5.11x
EBITDA-Capex/Net Int Exp	2.18x	1.89x	2.26x	2.42x

Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

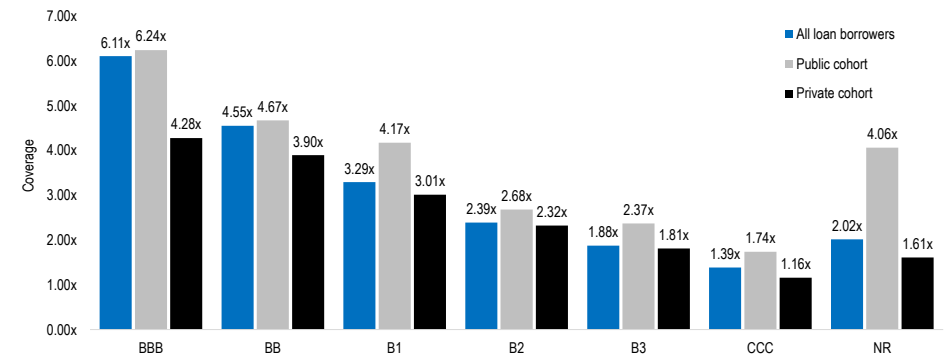
In terms of details, Loan Revenues and EBITDA expanded +10.8% and +6.8% on a year-over-year basis. **Underneath, EBITDA growth was strongest for B3s (+12.2% y/y), slightly more modest for BBs (+7.4%), B1s (+5.5%), and B2s (+7.2%), while EBITDA contracted for CCCs (-3.0%).** And dispersion by sector continues. **EBITDA growth was strongest for Energy (+58% y/y), Technology (+18%), and Chemicals (+18%) and weakest for Transports (-26%), Cable (-4%), and Housing (-2%).** Reaping the benefits of a record repricing wave and Fed cuts, LTM interest expense (+1.9% yoy) has stabilized for the first time since the Fed began ratcheting rates higher in early 2022. **And LTM interest coverage metrics improved for a seventh consecutive quarter to a 3-year high 3.25x after bottoming at 2.86x in 3Q24.** Note interest coverage for the public cohort of loan borrowers is almost twice that for private companies (4.36x vs 2.29x). Additional context, 397 of 701 issuers (57%) saw coverage improve q/q, versus 304 (43%) that declined (vs. 69%/31% in 1Q). Coverage for BBs is 4.55x (+0.03x q/q), for B1 is 3.29x (+0.11x), for B2 is 2.39x (+0.03x), for B3 is 1.88x (+0.05x), and CCC is 1.39x (-0.00x). **Notably, both the sub-1x (5%) and sub-2x (30%) covered portion of the leveraged loan universe are at a 4-year low and below 4Q23's high (10%, 49%).** Note coverage for the leverage credit market is 3.68x and is not surprisingly highest for Bond-only companies (5.11x) compared with Loan-only companies (2.83x) and Bond-and-loan issuers (3.50x). With debt growth reaching an 18-quarter high (+1.9% q/q, +7.6% y/y), leverage metrics for leveraged loan issuers are hovering near a high since 2022. **Leverage for Loan issuers rose +0.02x to 4.94x, which is only 0.07x below 4Q25's 3-year high.** Both the public (+0.02x to 4.54x) and private cohorts (+0.10x to 5.65x) saw leverage increase q/q. Additional context, 258 of 701 issuers (37%) saw leverage rise q/q, while 443 (63%) improved (vs 42%/58% in 1Q). The Telecom sector's 9.02x leverage is the highest, followed by Gaming/Leisure (6.11x) and Paper/Packaging (5.91x). **Leverage remains sharply tiered by rating: Leverage for BBs is 4.50x (+0.17x y/y) versus 4.38x for B1s (-0.13x), which rises to 5.63x for B2s (+0.01x), 6.66x for B3s (+0.12x), and 8.53x for CCCs (+0.77x).** Leverage across Leveraged Credit was 4.72x which for Loan-only, Bond-and-Loan, and Bond-only issuers in 2Q were 5.06x, 4.90x, and 4.26x. **Finally, balance sheets for software companies are weaker than the overall market (coverage 2.44x, leverage 5.46x).**

Interest coverage increased for a seventh consecutive quarter to a 3-year-high 3.25x



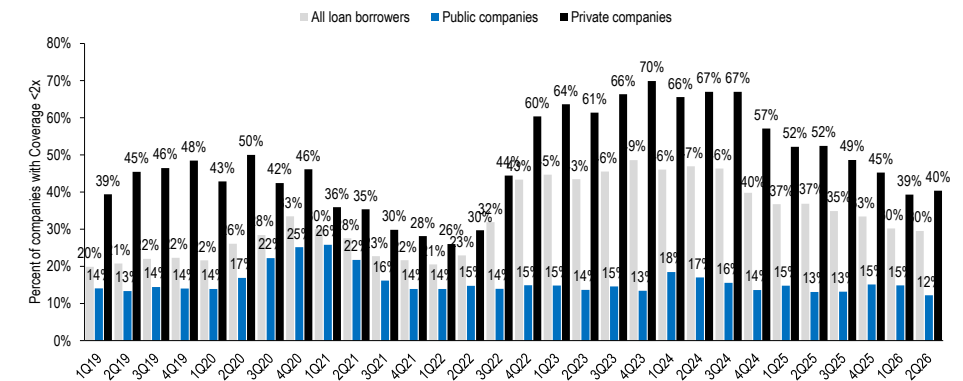
Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

Coverage for public companies is higher than the private cohort in every rating bucket



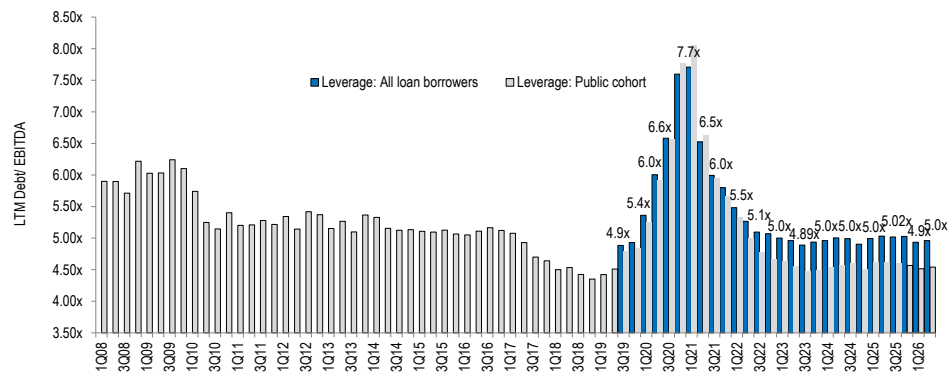
Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

Percent of companies with coverage less than or equal to 2x continues to decline, with improvement driven by the public cohort



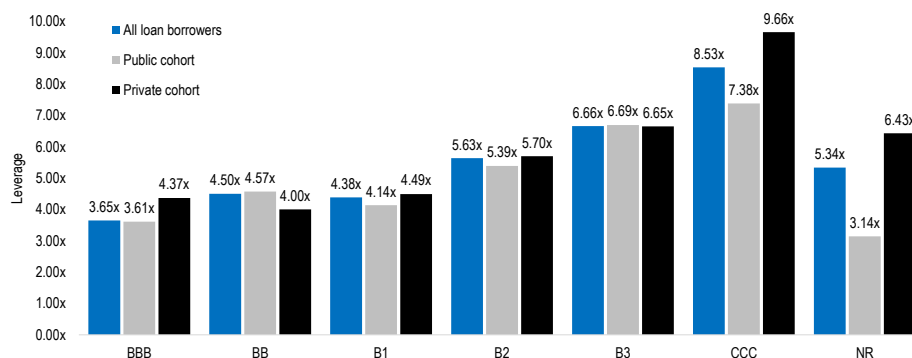
Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

Leverage for loan borrowers ticked higher in 2Q, but has remained fairly stable for three-plus years now



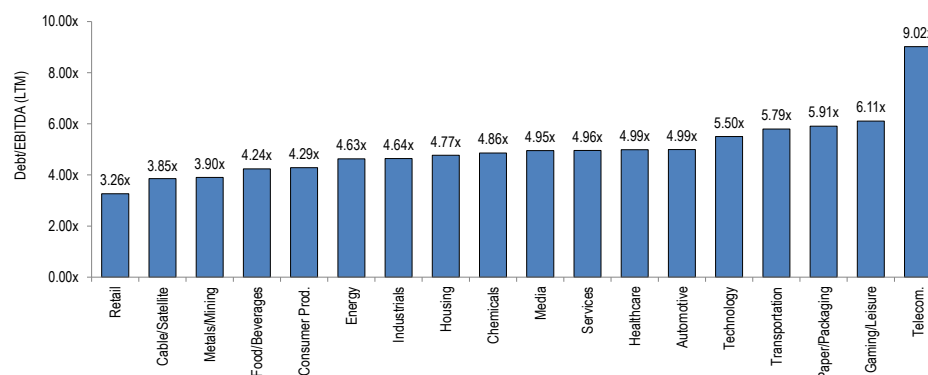
Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

Leverage by rating; B3 leverage more than two turns higher than B1



Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

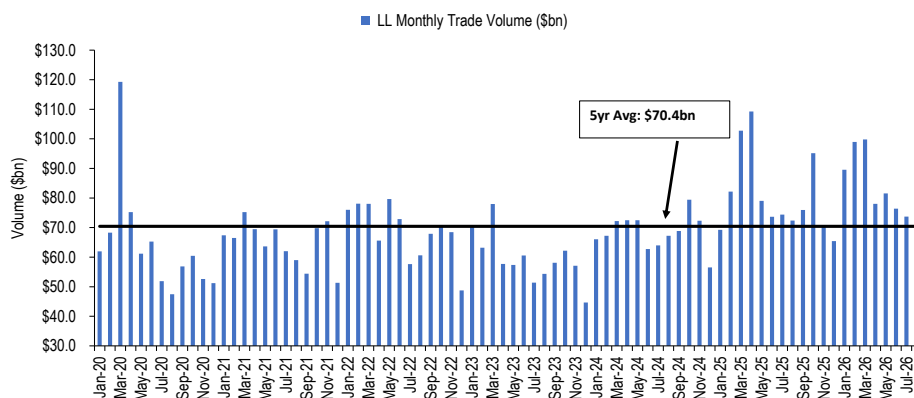
Leverage by industry; Telecom easily the highest and Retail the lowest



Source: J.P. Morgan; Capital IQ; Bixby Research and Analytics Inc.

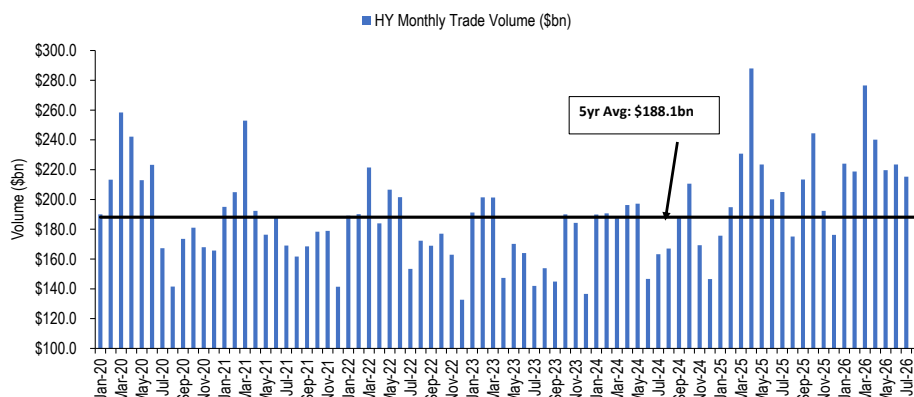
Leveraged Finance Trading Update

In August, a 8-month low \$69.7bn of leveraged loans traded which is down -5% m/m which compares to the 12-month average \$81.2bn



Source: LSTA

In August, \$186.9bn of high yield bonds traded which was down -13% m/m and compares to the 24-month average \$209.9bn



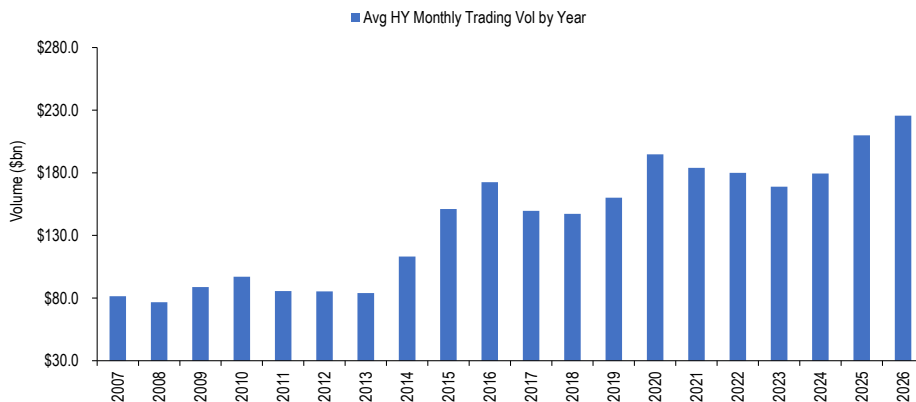
Source: J.P. Morgan; Trace

Loan trading volume averaging \$83.5bn per month in 2026 compared to \$80.8bn and \$68.5bn per month in 2025 and 2024, respectively



Source: LSTA

High yield trading volume averages \$225.6bn per month in 2026 compared to \$209.9bn and \$179.4bn per month in 2025 and 2024, respectively

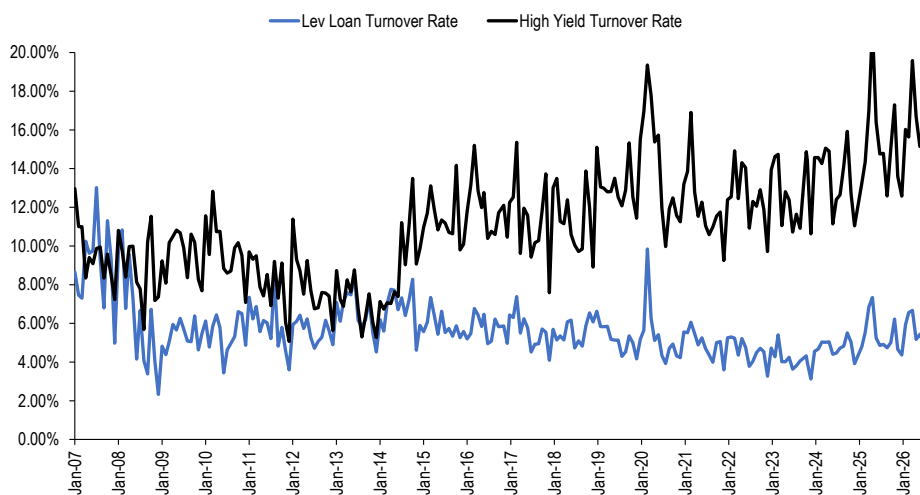


Source: J.P. Morgan; Trace

We partnered with Loan Syndications and Trading Association (LSTA) to provide visibility into leveraged loan trading activity. Included in the following analysis are data on bid-ask spreads, trading volumes, and turnover ratios for the leveraged loan universe. We also include trading data for high-yield bonds. **In August, a 8-month low \$69.7bn of leveraged loans traded which is down -5% m/m which compares to the 12-month average \$81.2bn.** And August's volume follows July's \$73.7bn, June's \$76.4bn, May's \$81.5bn, April's \$78.0bn, March's \$99.8bn (4th highest on record), February's \$99.0bn (5th highest), and January's \$89.5bn. For context, the 36-month average is \$74.5bn. For context, August has historically ranked as the third weakest loan trading month of the calendar year, averaging \$49.5bn since 2007. **In August, \$186.9bn of high yield bonds traded which was down -13% m/m and compares to the 24-month average \$209.9bn.** August's volume follows \$215.3bn in July, \$223.5bn in June, \$219.7bn in May, \$240.2bn in April, \$276.5bn in March, \$218.7bn in February, and \$224.0bn in January. For context, August has historically ranked as the second weakest bond trading month of the calendar year, averaging \$125.6bn since 2007. **Year-to-date, loan trading volume of \$667.6bn is up +1% y/y compared to YTD25's \$662.9bn. 2025 loan trading volume of \$970.2bn was up +18% y/y and compared to \$821.4bn in FY24.** For reference, the most active trading months for loans in 2025 were April (\$109.2bn) and March (\$102.8bn) with December (\$65.4bn) and January (\$69.2bn) the lightest. **Year-to-date, bond trading volume of \$1.80trn is up +7% y/y compared to YTD25's \$1.69trn. 2025 high yield trading volume of \$2.52trn was up +17% y/y and compared to \$2.15trn in FY24.** For reference, the most active trading months for bonds in 2025 were April (\$287.9bn) and October (\$244.4bn), with August (\$175.2bn) and January (\$175.7bn) the lightest. **And loan trading volume averaging \$83.5bn per month in 2026, compared to \$80.8bn and \$68.5bn per month in 2025 and 2024, respectively.** Of course, examining historical trading volume is challenging to compare in isolation due to the asset classes rapid growth over the past 15 years. To account for the asset classes' growth over the years we calculate a turnover rate. **What is the average monthly turnover rate for the leveraged loan asset class? We calculate the monthly turnover rate for leveraged loans in August as 4.60%, compared to a monthly average of 5.38% in 2025 (or 65% per annum).** How does this compare to high-yield bonds? **High yield trading volume averages \$225.6bn per month in 2026 compared to \$209.9bn and \$179.4bn per month in 2025 and 2024, respectively.** We calculate the monthly turnover rate for high-yield bonds at 13.0% in August, which compares to an average rate of 15.3% in 2025 (or 183% per annum) or

more than double that experienced within the leveraged loan product. What accounts for the differential? A few reasons loans trade less than bonds include the holder base for leveraged loans (heavy CLO, bank participation) and the inability to short, which limits hedge fund participation. In high-yield bonds there are more ETF products, portfolio trading, and a more diversified holder base. **Also included is a high-yield bond trading heatmap that shows relative trading volume by sector and rating. Over the past 30 trading sessions, Single-B volumes are in-line with the 250-day average whereas CCC activity is well below (73%). And at a sector level, Technology (99%) and Financials are seeing activity in-line with the 250-day average while Cable/Sat., Telecom, and Chems well below.** Finally, we incorporate into analysis the number of loans traded in a month and bid-ask spreads tracked by LSTA. For example, an average of 1545 different syndicated loans traded per month during 2025. **The median bid-ask spread in August was 55bp (+3bp m/m), following 54bp in 2025, 53bp in 2024, 75bp in 2023, 84bp in 2022, 48bp in 2021, 120bp in 2020, 67bp in 2019, 53bp in 2018, and 51bp in 2017.** In other words, in pricing environments where the % above Par is elevated (2021 and 2017/18) the bid-ask spread has tended to narrow. Not surprisingly, the relationship between bid-ask spread and the number of loans traded has tended to be inversely related (lower trade count equals wider bid-ask). LSTA members can access historical loan trade data [here](#), while non-LSTA members can contact tbasta@lsta.org for more information.

The monthly turnover rate for high-yield bonds at 13.0% in August, which compares to an average rate of 15.3% in 2025 (or 183% per annum) or more than double that experienced within the leveraged loan product



Source: J.P. Morgan; LSTA; Trace

HY CCC Performance Attribution

Largest positive and negative contributors to CCC YTD performance

Twenty largest positive contributors to CCC YTD performance				Twenty largest negative contributors to CCC YTD performance			
Issuer Name	Ticker	Industry	Contribution to CCC return	Issuer Name	Ticker	Industry	Contribution to CCC return
Bausch Health Cos	BHCCN	Healthcare	0.45%	Optimum Comm.	CSCHLD	Cable/Satellite	-1.28%
Altice France SA	SFRFP	Telecom.	0.30%	Cornerstone Building Brands	CNR	Housing	-0.30%
Transocean	RIG	Energy	0.21%	Mercer International	MERC	Paper/Packaging	-0.26%
Consolidated Energy Fin.	CONSEN	Chemicals	0.20%	LABL Inc	LABL	Paper/Packaging	-0.24%
Gray Television	GTN	Broadcasting	0.18%	Embarq	EMBARQ	Telecom.	-0.21%
Xerox Holdings	XXRX	Technology	0.18%	US LBM Holdings	USLBMH	Housing	-0.20%
Community Health Systems	CYH	Healthcare	0.17%	Aston Martin Capital	ASTONM	Automotive	-0.17%
Dish Network Corp	DISH	Cable/Satellite	0.15%	iHeartCommunications Inc	IHRT	Broadcasting	-0.15%
Service Properties Trust	SVC	Financial	0.14%	Scientific Games Lottery	SCGALO	Gaming/Leisure	-0.15%
Rackspace Hosting Inc	RAX	Technology	0.12%	Acrisure	ACRISU	Financial	-0.14%
McAfee	MCFE	Technology	0.11%	Bally's Corp	BALY	Gaming/Leisure	-0.14%
Michaels Stores	MIK	Retail	0.10%	SGUS LLC	SGUSLL	Retail	-0.13%
KIK Custom Products	KIKCN	Consumer Prod.	0.09%	Altice International	ALTICE	Telecom.	-0.12%
Jeld-Wen	JELD	Housing	0.09%	Unifrax Investment	FRAX	Industrials	-0.09%
Uniti Group	UNIT	Telecom.	0.08%	Radio Systems	PETSAF	Consumer Prod.	-0.08%
MajorDrive Holdings IV	CLUCAR	Consumer Prod.	0.08%	Getty Images	ABEGT	Diversified Media	-0.08%
Garda World Security	GWCN	Services	0.08%	Dye & Durham Limited	DNDCN	Technology	-0.08%
RRD Parent INC	RRDPRI	Technology	0.08%	ARKO CORP	ARKO	Retail	-0.08%
Global Marine	GLBMRN	Energy	0.08%	Hertz	HTZ	Services	-0.08%
Calumet Specialty Prod.	CLMT	Energy	0.07%	Coronado Finance LTD	CRNAU	Metals/Mining	-0.07%
Total			2.96%	Total			-4.05%

Source: J.P. Morgan.

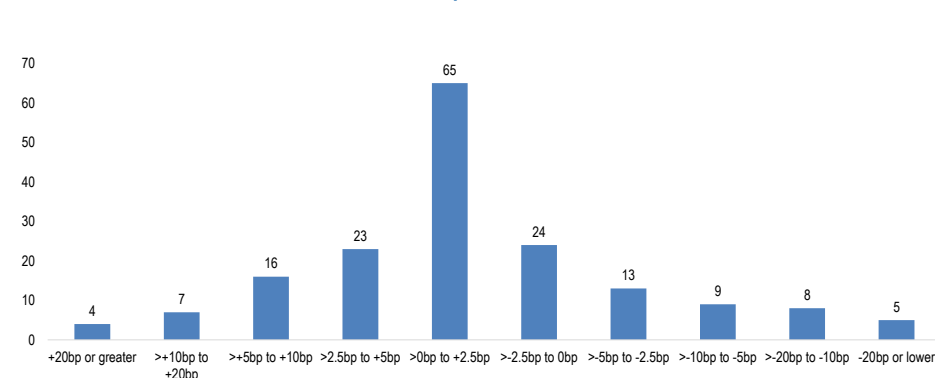
The following includes an issuer performance attribution YTD for the CCC component of the JPMorgan High-Yield Bond index. Also included are an industry breakdown and an attribution to distribution to highlight the tails. It is historically unusual to experience the level of decompression which has transpired in an economy and earnings cycle so supportive for underlying spreads. For example, CCC spreads are 213bp wider year-to-date versus a broader HY index which is 14bp tighter. Additionally, CCC performance is nearly flat year-to-date (+0.25%), which is lagging the HY index's gain of +2.12%. For additional context, the S&P 500 is posting double-digit gains (+14.3%). What is driving these unusual conditions at the CCC index level? To answer this, we break down the issuer contributors to CCC's returns year-to-date. **Of note, 115 of the 174 issuers that contributed to CCC's performance in 2026 are providing gains year-to-date (66%) versus 59 (34%) which are providing losses.** With nearly two-thirds of companies in the green versus one-third in the red, it comes as no surprise that the average contribution to total returns was a modest +4bp for the positive performers, while the average contribution for the negative performers was -8bp. **The largest single name contributor to CCC performance in 2026 has been CSCHLD with an outsized -128bp of negative contribution. Other large negative contributors to CCC performance include CNR (-30bp), MERC (-26bp), LABL (-24bp), EMBARQ (-21bp), USLBMH (-20bp), ASTONM (-17bp), and IHRT (-15bp). Overall, the 20 largest drags on the CCC index are subtracting 405bp from the year-to-date return.** Conversely, what are the largest positive contributors to CCC performance? **The largest positive contributor to CCC performance year-to-date has been BHCCN (+45bp), which is followed by SFRFP (+30bp), RIG (+21bp), CONSEN (+20bp), GTN (+18bp), XXRX (+18bp), CYH (+17bp), and DISH (+15bp).** On a attribution basis, there are 13 issuers dragging the CCC return down by 10bp or more versus 11 issuers boosting performance by a similar amount. An elevated 89 of 174 issuers are exhibiting very little influence on the CCC index return in 2026. **By Industry, Cable/Satellite has had the largest cumulative negative contribution to CCC returns (-102bp), followed by Housing (-47bp), and Paper/Packaging (-41bp), while the largest positive contributors are Healthcare (+66bp), Technology (+53bp), and Energy (+39bp).** Interestingly, all but two sectors had more positive contributors than negative, with Housing (4 pos./7 neg.) and Diversified Media (2/3) the two outliers.

CCC attribution analysis by sector

Industry	Positive Count	Negative Count	Maximum	Minimum	Sum	Average
Automotive	6	4	0.02%	-0.17%	-0.15%	-0.02%
Broadcasting	7	2	0.18%	-0.15%	0.18%	0.02%
Cable/Satellite	5	3	0.15%	-1.28%	-1.02%	-0.13%
Chemicals	8	3	0.20%	-0.04%	0.29%	0.03%
Consumer Products	2	1	0.09%	-0.08%	0.09%	0.03%
Diversified Media	2	3	0.01%	-0.08%	-0.14%	-0.03%
Energy	5	1	0.21%	0.00%	0.39%	0.07%
Financial	15	4	0.14%	-0.14%	0.22%	0.01%
Food/Beverages	5	2	0.03%	-0.05%	-0.02%	0.00%
Gaming/Leisure	5	4	0.04%	-0.15%	-0.19%	-0.02%
Healthcare	7	2	0.45%	-0.05%	0.66%	0.07%
Housing	4	7	0.09%	-0.30%	-0.47%	-0.04%
Industrials	6	4	0.02%	-0.09%	-0.10%	-0.01%
Metals/Mining	3	2	0.04%	-0.07%	-0.02%	0.00%
Paper/Packaging	6	5	0.03%	-0.26%	-0.41%	-0.04%
Retail	3	3	0.10%	-0.13%	-0.08%	-0.01%
Services	6	2	0.08%	-0.08%	0.12%	0.01%
Technology	9	4	0.18%	-0.08%	0.53%	0.04%
Telecommunications	8	2	0.30%	-0.21%	0.16%	0.02%
Transportation	2	1	0.05%	-0.01%	0.06%	0.02%
Utility	1	0	0.02%	0.02%	0.02%	0.02%
Total	115	59	0.45%	-1.28%	0.11%	0.00%

Source: J.P. Morgan.

Distribution of Issuer contribution to CCC YTD performance



Source: J.P. Morgan.

New Issue vs Secondary Performance

HY new-issues are underperforming secondary for the first time in 17 years

Year	New Issue Portfolio Total Return	Secondary Portfolio Total Return	Difference
2000	3.4%	-5.8%	9.3%
2001	3.4%	4.6%	-1.2%
2002	17.4%	0.6%	16.8%
2003	28.4%	28.4%	-0.1%
2004	14.1%	11.0%	3.1%
2005	5.7%	1.9%	3.8%
2006	9.8%	12.1%	-2.3%
2007	6.6%	2.1%	4.5%
2008	-9.2%	-25.2%	16.0%
2009	50.4%	55.2%	-4.8%
2010	19.1%	14.5%	4.5%
2011	16.7%	6.6%	10.1%
2012	23.5%	15.9%	7.6%
2013	10.3%	7.8%	2.5%
2014	14.0%	2.8%	11.2%
2015	13.3%	-4.1%	17.4%
2016	25.1%	17.2%	7.9%
2017	21.0%	7.5%	13.5%
2018	2.3%	-2.0%	4.3%
2019	34.8%	14.2%	20.6%
2020	19.3%	6.6%	12.8%
2021	7.1%	5.5%	1.6%
2022	-4.0%	-10.6%	6.7%
2023	17.9%	13.5%	4.4%
2024	8.8%	8.6%	0.23%
2025	13.4%	8.9%	4.50%
YTD	0.88%	1.52%	-0.64%
Average 2000-2025	14.3%	7.6%	6.72%

Source: J.P. Morgan

This analysis includes historical new issue versus secondary performance. In this analysis, the “new-issue” portfolio consists of bonds issued within the last 35 days. After 35 days are complete the new-issue then transfers to the “secondary” portfolio consisting over everything else in the marketplace. **Not surprisingly, an investor can typically enhance portfolio performance by increasing participation in new-issues.** For example, the high-yield new-issue portfolio gained +13.4% in 2025, which outpaced the secondary portfolio’s 8.9% gain by 450bp following 23bp of outperformance in 2024. That said, this factor has not been the case in 2026. And year-to-date, **HY new-issues are underperforming secondary for the first time in 17 years (+0.88% vs. +1.52%).** What is the historical gap between new-issue performance and secondary? **The average annual return for a rolling 35-day-new-issue portfolio is +14.3% since 2000, which compares to an average gain of +7.6% for the secondary portfolio. In other words, an investor can achieve 672bp of annual outperformance by participating in new-issue versus secondary. Furthermore, the new-issue portfolio has outperformed in every single calendar year since 2009.** Even during the high-yield markets down years over the past decade in 2015 (-3.7%), 2018 (-1.9%), and 2022 (-10.6%) an investor participating in new-issues outperformed the secondary market by 17.4% (2015), 4.3% (2018), and 6.7% (2022). The only underperforming years for new-issue were 2009 (-4.8%), 2006 (-2.3%), 2003 (-0.1%), and 2001 (-1.2%). **From an index perspective, notably, the new-issue portfolio has on average accounted for only 170bp of the market-weight of the JPMorgan High-**

Yield index. Meanwhile, the outperformance is less acute on average when doing the exercise for leveraged loans. Represented by a rolling 35-day portfolio of newly issued loans, new-issues outperformed secondary by 220bp in 2025 (8.11% versus 5.91%) versus an 118bp outperformance in 2024. And year-to-date that outperformance is 64bp (4.28% versus 3.64%). **Historically (2007 – 2025, ex-2009), the leveraged loan new-issue portfolio averaged a 4.7% gain, which outpaced the secondary portfolio’s average 3.5% gain by 119bp. In other words, an investor can achieve 119bp of annual outperformance by participating in new issues versus secondary.** In this analysis we exclude 2009 due to the inflated secondary returns post-GFC. **Comparatively, the high-yield bond new-issue portfolio historically picks up an additional +672bp of return compared to the secondary market.** Over the past 13 years loan new issues have underperformed only once—in 2020 the new-issue portfolio underperformed the secondary portfolio by 415bp due to volatility around the pandemic. From an index perspective, notably, the new-issue portfolio has on average accounted for 4% of the market-weight of the JPMorgan Leveraged Loan index.

Year-to-date, loan new issue outperformance is 64bp compared to 220bp in 2025 and 118bp in 2024

Year	New Issue Portfolio Total Return	Secondary Portfolio Total Return	Difference	Loan Index Returns
2007	3.79%	2.27%	1.53%	2.37%
2008	-22.22%	-29.52%	7.31%	-29.51%
2009	16.92%	52.01%	-35.09%	51.78%
2010	3.67%	10.25%	-6.58%	10.12%
2011	5.11%	1.77%	3.34%	1.81%
2012	9.82%	9.90%	-0.09%	9.96%
2013	6.95%	5.53%	1.42%	5.60%
2014	4.15%	2.01%	2.14%	2.05%
2015	6.20%	0.37%	5.83%	0.54%
2016	10.32%	9.81%	0.51%	9.78%
2017	5.61%	4.15%	1.46%	4.25%
2018	3.22%	1.01%	2.21%	1.08%
2019	8.92%	8.64%	0.28%	8.64%
2020	-0.87%	3.28%	-4.15%	3.19%
2021	5.50%	5.45%	0.05%	5.46%
2022	1.54%	0.04%	1.50%	0.06%
2023	14.48%	13.15%	1.34%	13.17%
2024	10.47%	9.29%	1.18%	9.33%
2025	8.11%	5.91%	2.20%	5.99%
YTD	4.28%	3.64%	0.64%	3.69%
Avg.e '07-'25 ex '09	4.71%	3.52%	1.19%	3.55%

Source: J.P. Morgan.; S&P/IHS Markit

CLO

The following content has been excerpted from Rishad Ahluwalia's *CLO FIMs*, published September 25th, 2026

The Big Bad Bond Yield is Back (Again)

- **We're dusting off the title of our Sep 9th note "Who's Afraid of the Big Bad Bond Yield" faster than planned—as rates have moved even faster.** Yields moved sharply upwards across the curve this week, driven by strong economic data, Treasury auction tails, and inflation concerns. OIS forwards are pricing in ~90bp of additional Fed rate hikes and next week's employment report looms large: given the decline in initial and continuing jobless claims over the month, the risk of a stronger September reading is rising, which could justify markets pricing in a high probability of an October hike. Our US rates colleagues have found that Treasury yields tend to rise in anticipation of the first hike, but they do not tend to peak until two or three months afterward, meaning that if history repeats, yields may climb even higher. Further, positioning still leans long, as evident in our Treasury Client Survey, and the risk is that we see further position squaring over the near term. Notably, yields have also sold off across DM sovereigns, such as in JGBs; higher domestic yields can simply make staying at home easier (see "The Rising Cost of Money" for hedged CLO analysis).
- **The relative value bar just got higher.** With ~5% yields now in 2Y to 5Y Treasury maturities, the relative value debate gets far less theoretical. When 2Y–5Y UST yields sat below CLO AAA yields, comparing long-duration Treasuries (10Y–30Y) to floating-rate CLOs required a few extra mental gymnastics given the mismatch, but now, investors can pick up similar yields with not as much duration risk. In our view, many CLO participants entered the market post-GFC (the product is still relatively "new"), and have largely operated in a ZIRP-conditioned world. We also hear a recurring pushback from clients: "CLO-dedicated funds will keep buying." Maybe—but if rates stay here (or move higher), it's the marginal buyer that matters. Yield-oriented multi-sector strategies may reassess relative value if they can earn comparable yields without the structural complexity, which could prove an unpleasant surprise for parts of the market.
- **Don't forget about spread products.** At the same time, corporates look attractive, especially as heavy AI Hyperscaler issuance has contributed to some widening in parts of the market. Meanwhile, with more hikes getting priced-in, some investors shed some cap risk by selling CMO floaters, resulting in Ginnie Mae CMO floater spreads within range of—or in some cases above—CLO AAA spreads, so MBS also looks interesting without taking duration risk. (The comparison isn't clean: CLOs don't cap the benchmark; some mortgage floaters do, CLO credit risk is not federally guaranteed; GNMA is, and the products have different sensitivities). On balance, this week witnessed net inflows into CLO ETFs (see below).

Week in Review

High Yield and Leveraged Loan Summary

- **Spreads and yields** – High-yield bond yields increased 36bp to 8.10%, while spreads increased 9bp to 312bp. Five-year Treasury yields increased 22bp to 5.03% and 10-year Treasury yields increased 22bp to 5.16%. Leveraged loan yields (to 3-year takeout) increased 29bp to 9.50%, while spreads increased 5bp to 480bp.
- **Performance** – High-yield bonds and leveraged loans returned -0.93% and +0.01% for the week, while equities (the S&P 500) returned +0.88%, investment-grade bonds returned -1.41% and emerging market bonds returned -1.10%. Year-to-date, high yield bonds and loans have provided gains of +1.17% and +3.68%, while 10-year Treasuries, investment-grade bonds, emerging market bonds, and the S&P 500 have returned -4.57%, -2.37%, +0.14%, and +13.49%, respectively.
- **New issue activity** – Thirteen high yield bonds priced this week totaling \$19.9bn compared with seven new issues last week totaling \$6.4bn. Year to date, HY volume totals \$269.8bn (\$118.2bn ex-refi). As for the loan primary market, 19 new loans priced this week totaling \$18.8bn. Year to date, loan issuance totals \$603.8bn (\$157.5bn ex-refi/repricing).
- **CLO issuance activity** – Twenty US CLOs priced this week totaling \$8.7bn, comprising eight new CLO totaling \$3.6bn and 12 reset/refinancing deals totaling \$5.1bn. Year to date, 779 US CLOs have priced totaling \$346.7bn (\$123.3bn ex-refinancing and \$223.3bn refinancing).
- **Demand** – High Yield funds reported their first weekly inflow in five weeks of +\$545mn for the week ending September 23rd. Notably, HY funds saw -\$4.4BN exit over the prior 4 weeks. By fund type, actively managed funds (AMs) reported their fourth outflow in five weeks of -\$300mn, while HY ETFs reported their first inflow in six weeks of +\$845mn (-\$3.8BN outflow over prior 5 weeks). Month-to-date outflows for HY funds total -\$2.7BN (-\$645mn AMs, -\$2.1BN ETFs), which follows +\$11.6BN of inflows over the prior 5 months. And YTD flows for HY funds total -\$1.4BN (-\$424mn AMs, -\$951mn ETF), compared with +\$13.8BN of inflows over the same period last year. Loan funds reported their largest weekly inflow since February 2025 of +\$1.3BN for the week ending September 23rd equating to +0.75% of weekly AUM. For the week, ETFs reported an inflow of +\$985mn (+\$838mn CLO ETF, +\$147mn loan ETF), their 26th inflow in twenty-seven weeks. Meanwhile, AMs reported their 11th weekly inflow in thirteen weeks of +\$322mn. This brings the total weekly outflow for loan-dedicated products to +\$469mn (+\$322mn AM, +\$147mn Loan ETFs). Notably, this is the largest weekly inflow for loan-dedicated products since May. MTD, loan flows total +\$3.5BN (+\$1.2BN ex-CLO ETF) following +\$10.8BN of inflows over the prior five months. YTD, inflows for the loan asset class total +\$11.6BN (-\$4.3BN ex-CLO ETF) compared to a +\$8.8BN inflow over the same period last year (-\$4.3BN ex-CLO ETF).
- **Default activity** – The par-weighted high yield default rate is currently 1.98% (2.63% including distressed exchanges), while for loans the par-weighted default rate is 1.21% (2.33% including distressed exchanges). Most recent defaults include Hughes Satellite Systems (\$1.5bn, 8/2/2026), Unifrax Investment (\$3.1bn, 7/26/2026), Dish DBS (\$9.75bn, 6/30/2026), Inotiv (\$267mn, 6/3/2026), and QVC Group (\$2.2bn, 4/16/2026).

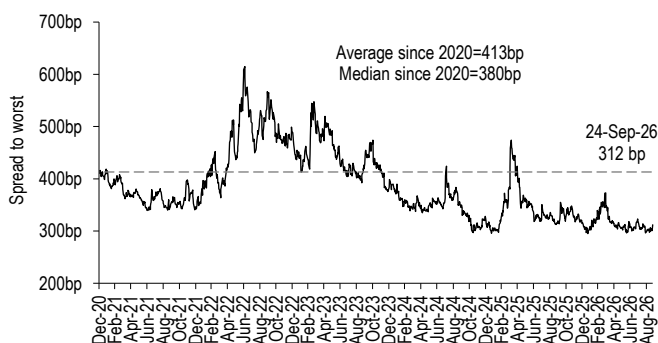
High Yield Spreads and Yields

Spread to Worst

	JPM HY						
	Bond Index	BB	B	CCC	NR	B/BB	CCC/B
29-Dec-23	377bp	238bp	366bp	872bp	570bp	128bp	506bp
31-Dec-24	325bp	212bp	324bp	682bp	684bp	113bp	357bp
31-Dec-25	314bp	203bp	323bp	757bp	845bp	120bp	434bp
24-Sep-26	312bp	190bp	309bp	995bp	573bp	119bp	686bp
Change							
1Q26	41bp	24bp	61bp	93bp	6bp	37bp	32bp
2Q26	-49bp	-41bp	-60bp	-17bp	-188bp	-18bp	43bp
Week	9bp	8bp	9bp	20bp	-21bp	1bp	11bp
MTD	13bp	10bp	7bp	83bp	-32bp	-3bp	76bp
QTD	6bp	4bp	-16bp	161bp	-90bp	-19bp	177bp
YTD	-2bp	-13bp	-14bp	238bp	-272bp	-1bp	252bp

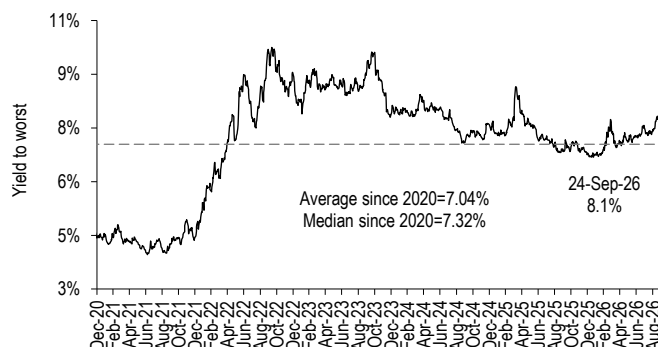
Source: J.P. Morgan.

Spread to worst



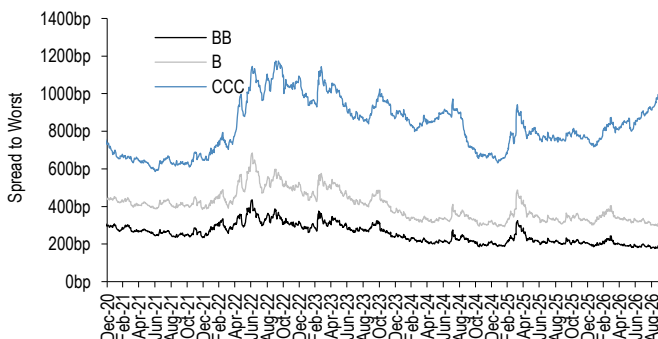
Source: J.P. Morgan.

Yield to worst



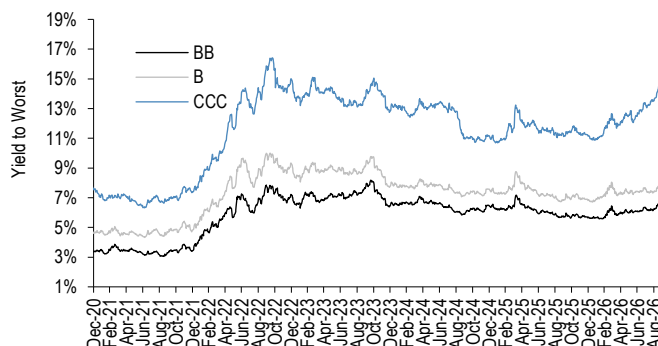
Source: J.P. Morgan.

Spread to worst by rating



Source: J.P. Morgan.

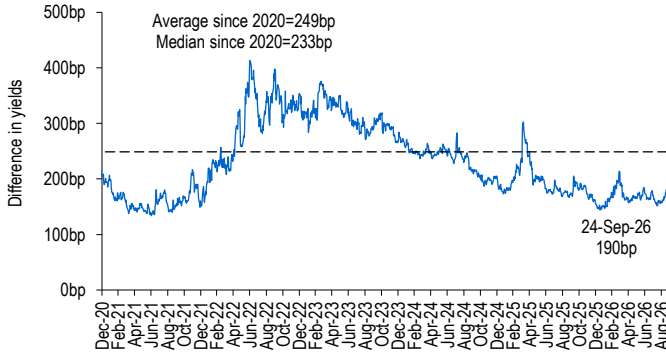
Yield to worst by rating



Source: J.P. Morgan.

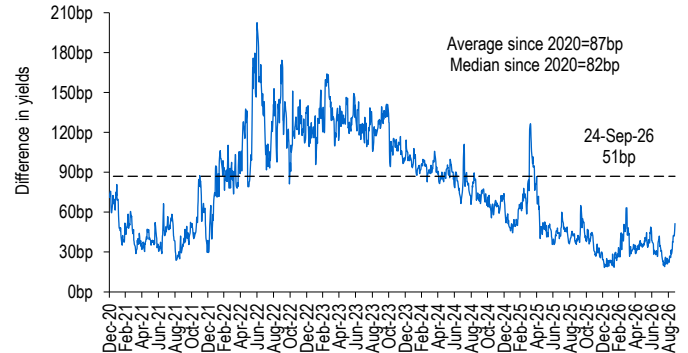
High Yield Spreads

Spread between investment grade & high yield bonds



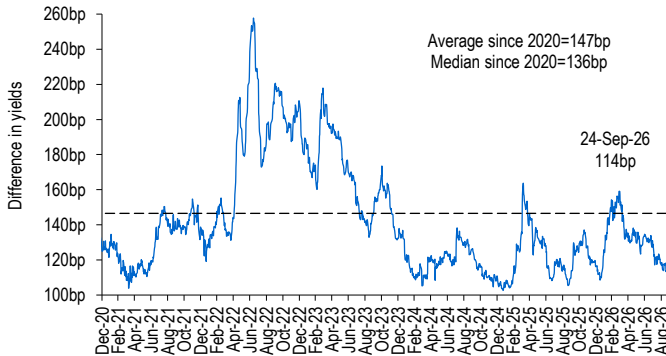
Source: J.P. Morgan.

Spread between bonds rated BBB & BB



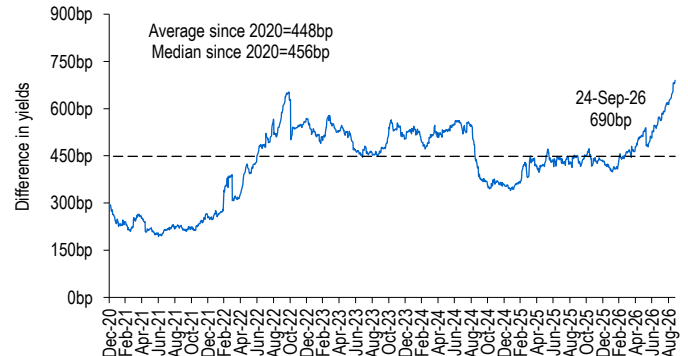
Source: J.P. Morgan.

Spread between bonds rated BB & B



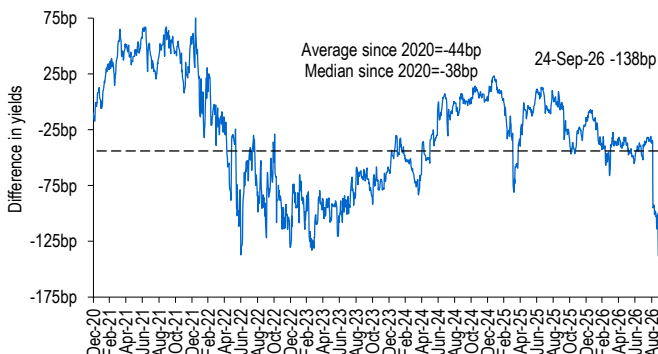
Source: J.P. Morgan.

Spread between bonds rated B & CCC



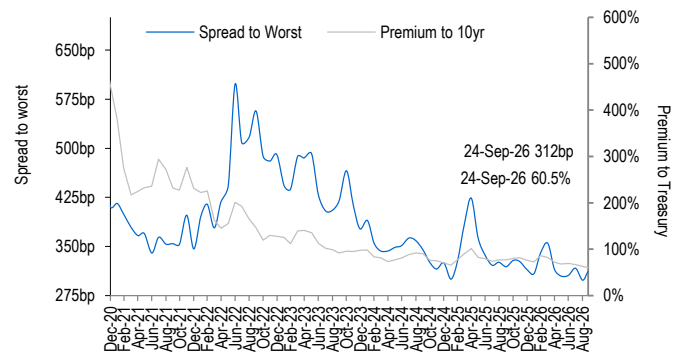
Source: J.P. Morgan.

Spread between High Yield & Emerging Market Bonds



Source: J.P. Morgan.

Premium to 10-Year Treasury



Source: J.P. Morgan.

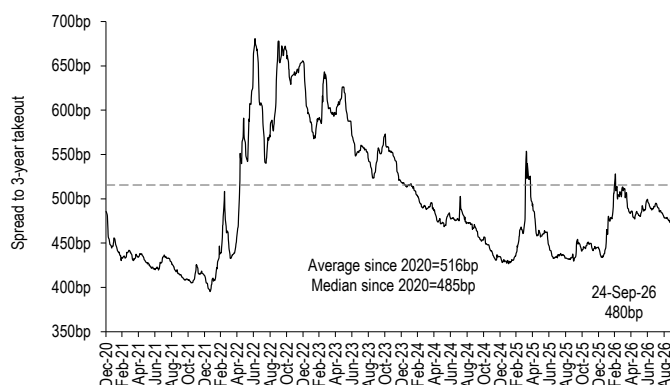
Leveraged Loan Spreads and Yields

Spread to 3-year takeover

	Loan Index	BBB	Split BBB	BB	Split BB	B	Split B/CCC	NR
29-Dec-23	519bp	207bp	218bp	299bp	371bp	469bp	1457bp	792bp
31-Dec-24	435bp	178bp	193bp	242bp	336bp	415bp	1348bp	759bp
31-Dec-25	444bp	170bp	176bp	256bp	317bp	402bp	1722bp	742bp
24-Sep-26	480bp	199bp	184bp	256bp	337bp	444bp	2076bp	842bp
Change								
1Q26	67bp	13bp	9bp	19bp	47bp	97bp	248bp	151bp
2Q26	-12bp	16bp	4bp	-14bp	-26bp	-3bp	-56bp	-86bp
Week	5bp	4bp	1bp	6bp	4bp	2bp	33bp	-3bp
MTD	2bp	3bp	2bp	5bp	-1bp	-9bp	119bp	19bp
QTD	-19bp	0bp	-5bp	-5bp	0bp	-52bp	162bp	35bp
YTD	37bp	29bp	8bp	0bp	20bp	41bp	354bp	100bp

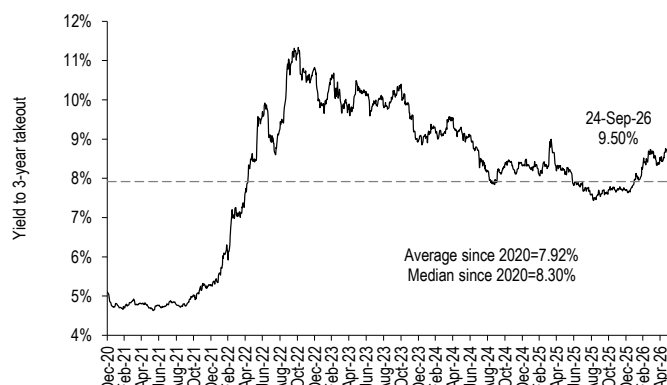
Source: J.P. Morgan; S&P/IHS Markit

Spread to 3-year takeover



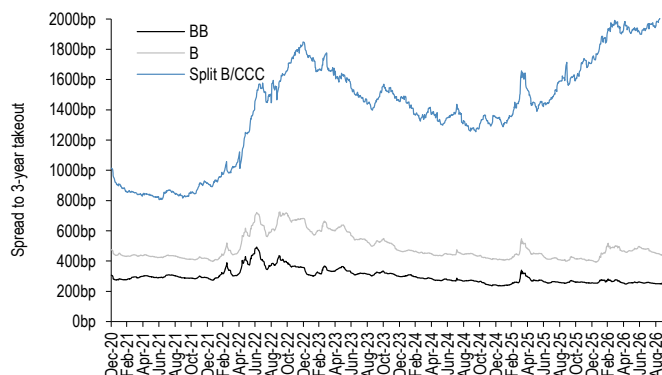
Source: J.P. Morgan; S&P/IHS Markit

Yield to 3-year takeover



Source: J.P. Morgan; S&P/IHS Markit

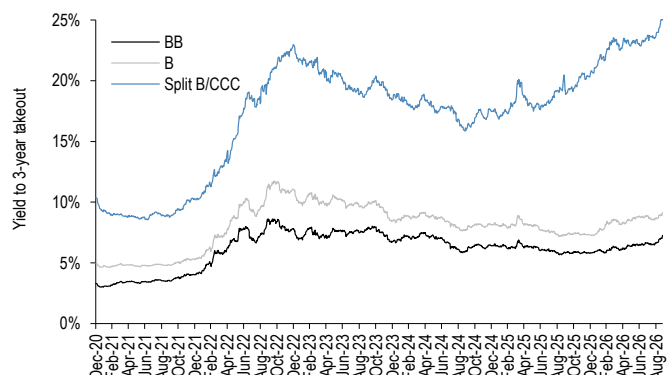
Spread to 3-year takeover by rating



Source: J.P. Morgan; S&P/IHS Markit

Note: Leveraged loan spread and yield analytics are calculated using a forward curve

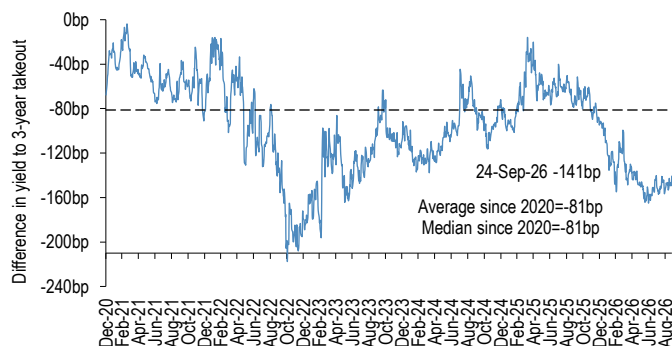
Yield to 3-year takeover by rating



Source: J.P. Morgan; S&P/IHS Markit

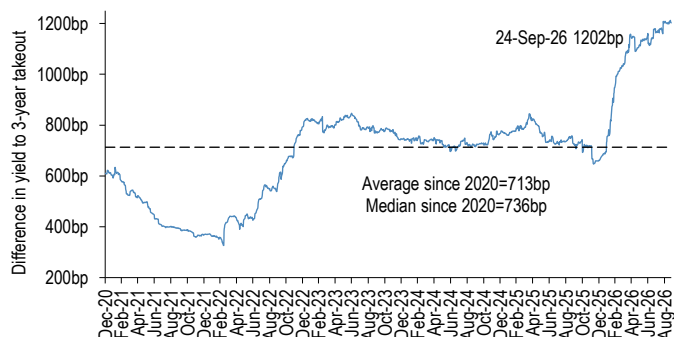
Leveraged Loan Spreads

Spread between high yield bonds & leveraged loans



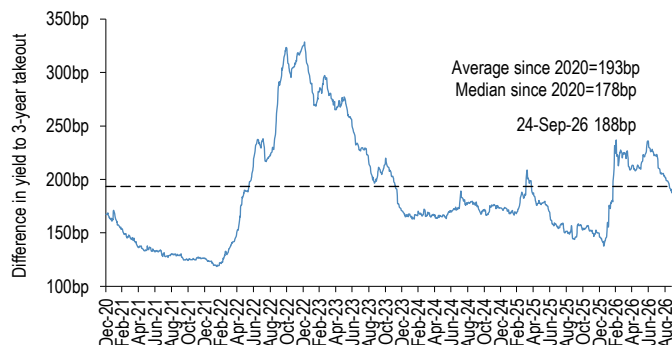
Source: J.P. Morgan; S&P/IHS Markit
Note: Loan yields are maturity prior to 2011

Spread between second lien loans & institutional loans



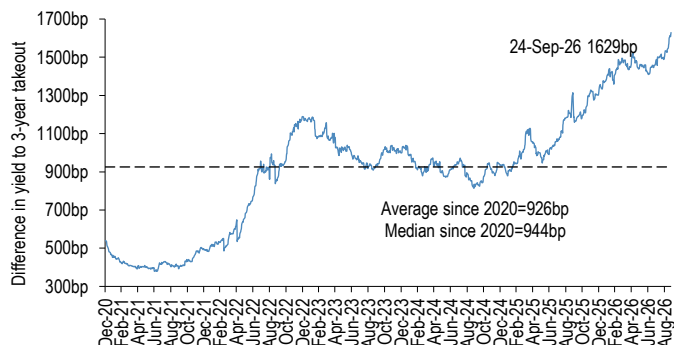
Source: J.P. Morgan; S&P/IHS Markit

Spread between loans rated B & BB



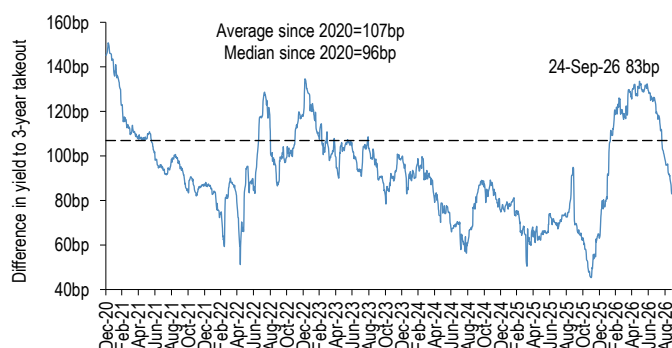
Source: J.P. Morgan; S&P/IHS Markit

Spread between loans rated Spilt-B/CCC & B



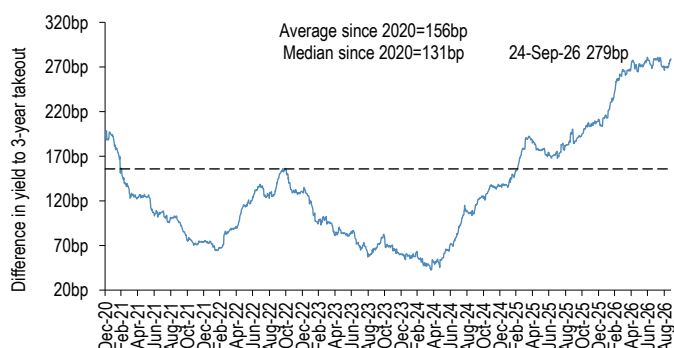
Source: J.P. Morgan; S&P/IHS Markit

Spread between loan-only and loan capital structures



Source: J.P. Morgan; S&P/IHS Markit
Note: Leveraged loan spreads and yields are calculated using a forward curve

Spread between loans with and without Rate floors

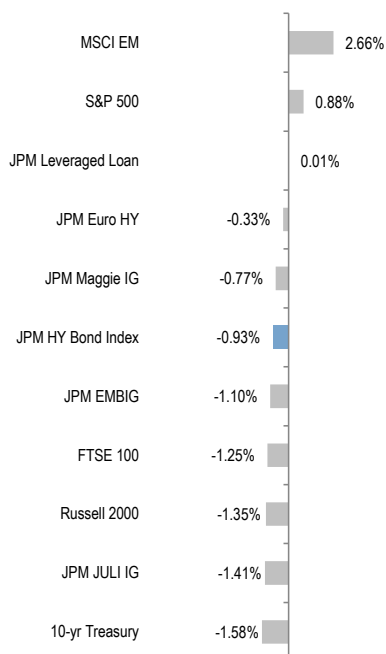


Source: J.P. Morgan; S&P/IHS Markit

Performance

Returns of various assets

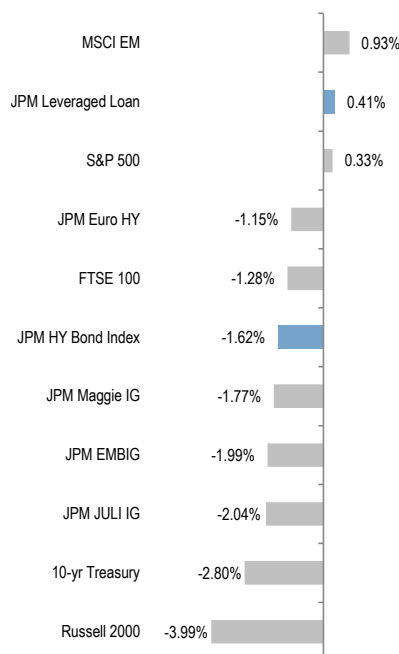
Week



Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of various assets

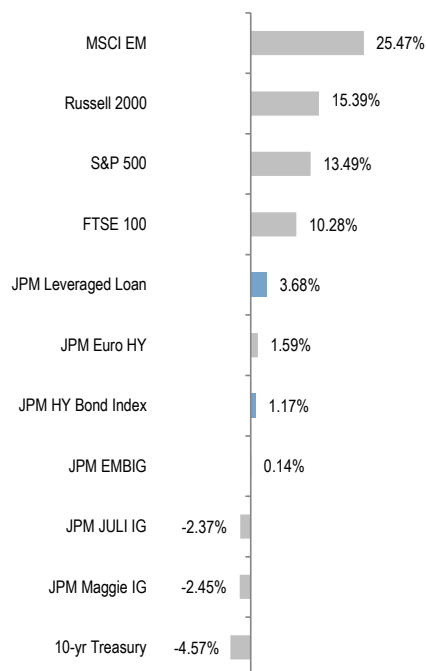
Month-to-date



Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of various assets

Year to date



Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of various assets

	JPM HY Bond Index	JPM Lev Loan	JPM JULI-IG	10-yr Trsy	JPM EMBI-Glbi	S&P 500	Russell 2000	FTSE 100	MSCI EM	CDX HY	CDX IG
1Q26	-0.34%	-0.45%	-0.55%	-0.22%	-1.14%	-4.35%	0.92%	3.43%	-0.13%	-1.68%	-0.22%
2Q26	2.45%	1.93%	1.43%	0.25%	4.03%	15.20%	21.57%	4.01%	24.15%	3.29%	0.71%
Week	-0.93%	0.01%	-1.41%	-1.58%	-1.10%	0.88%	-1.35%	-1.25%	2.66%	-0.40%	-0.06%
MTD	-1.62%	0.41%	-2.04%	-2.80%	-1.99%	0.33%	-3.99%	-1.28%	0.93%	-0.51%	-0.06%
QTD	-0.91%	2.17%	-3.21%	-4.59%	-2.63%	2.99%	-5.95%	2.51%	1.19%	0.06%	0.06%
YTD	1.17%	3.68%	-2.37%	-4.57%	0.14%	13.49%	15.39%	10.28%	25.47%	1.62%	0.55%

Source: J.P. Morgan; Bloomberg Finance L.P.; S&P/IHS Markit

Returns of other J.P. Morgan high yield and leveraged loan indices

	JPM Global HY	JPM Developed	JPM US	Dev. BB	Liquid Bond	BB/B Loan	Liquid Loan	2nd Lien	European Loan	Euro Euro	Euro. Currency
1Q26	-0.22%	-0.30%	-0.30%	-0.10%	-0.09%	-0.32%	-1.09%	-6.28%	-0.95%	-1.54%	-1.45%
2Q26	2.76%	2.61%	2.58%	2.47%	2.26%	1.87%	1.52%	0.71%	2.91%	3.76%	3.91%
Week	-0.85%	-0.89%	-0.91%	-0.88%	-0.88%	-0.01%	-0.08%	0.43%	0.07%	-0.33%	-0.29%
MTD	-1.48%	-1.56%	-1.58%	-1.54%	-1.53%	0.50%	0.38%	1.35%	0.50%	-1.15%	-1.02%
QTD	-0.68%	-0.76%	-0.74%	-0.98%	-0.83%	2.31%	2.33%	4.73%	1.28%	-0.56%	-0.38%
YTD	1.83%	1.52%	1.52%	1.36%	1.32%	3.90%	2.76%	-1.15%	3.23%	1.59%	2.01%

Source: J.P. Morgan; S&P/IHS Markit

Note: The European Currency Index includes euro and sterling denominated corporate bonds, and returns are stated in local currency. The European Aggregate Index includes euro, sterling, and US dollar denominated corporate bonds, and returns are stated in local currency.

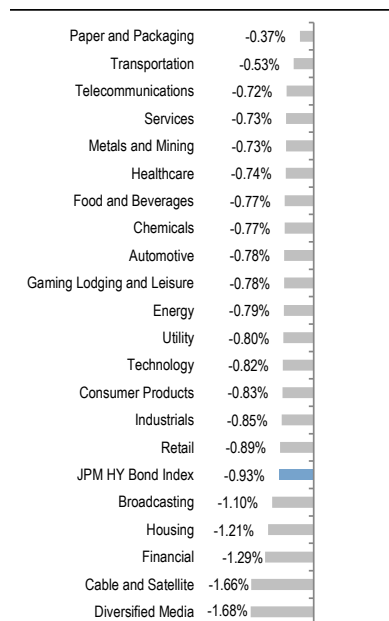
High Yield Performance

Returns by industry and rating

	Automotive	Broad-casting	Cable Satellite	Chemicals	Consumer Products	Diversified Media	Energy	Financial	Food & Beverages	Gaming Leisure	Healthcare
2Q26	3.45%	1.47%	-0.40%	2.73%	2.16%	4.14%	1.54%	2.83%	1.45%	2.77%	2.88%
Week	-0.78%	-1.10%	-1.66%	-0.77%	-0.83%	-1.68%	-0.79%	-1.29%	-0.77%	-0.78%	-0.74%
MTD	-1.64%	-2.03%	-2.53%	-1.43%	-1.97%	-2.39%	-1.19%	-2.03%	-1.83%	-1.79%	-1.23%
QTD	-0.96%	-0.57%	-2.81%	-0.27%	-1.48%	-1.47%	0.32%	-0.83%	-1.06%	-1.28%	-0.04%
YTD	1.21%	0.48%	-2.85%	4.13%	-0.32%	2.02%	4.37%	0.08%	0.37%	0.81%	2.84%
	Housing	Industrials	Metals Min.	Paper/Pack	Retail	Services	Technology	Telecom.	Trans.	Utility	
2Q26	3.65%	1.85%	2.96%	3.77%	3.43%	2.43%	2.95%	3.28%	1.78%	2.38%	
Week	-1.21%	-0.85%	-0.73%	-0.37%	-0.89%	-0.73%	-0.82%	-0.72%	-0.53%	-0.80%	
MTD	-2.30%	-1.82%	-1.11%	-1.09%	-1.58%	-1.31%	-0.75%	-2.52%	-1.36%	-1.70%	
QTD	-2.17%	-0.92%	-0.14%	-0.69%	-0.71%	-0.41%	-0.74%	-3.88%	-0.43%	-1.77%	
YTD	-0.84%	0.65%	1.61%	-1.45%	1.76%	1.08%	0.95%	0.84%	0.74%	0.91%	
	HY Bond Index	Split BBB	BB	Split BB	B	Split B	CCC	Non-rated	Defaulted		
2Q26	2.45%	2.37%	2.19%	3.52%	2.73%	3.20%	2.23%	6.86%	-21.81%		
Week	-0.93%	-0.64%	-0.96%	-0.84%	-0.89%	-0.85%	-1.06%	-0.23%	-1.77%		
MTD	-1.62%	-1.34%	-1.65%	-1.54%	-1.45%	-1.76%	-2.41%	-0.25%	-3.77%		
QTD	-0.91%	-0.90%	-1.08%	-0.71%	-0.25%	-0.17%	-3.03%	2.52%	-6.79%		
YTD	1.17%	2.02%	0.91%	2.51%	2.00%	2.38%	-2.01%	17.00%	-60.74%		

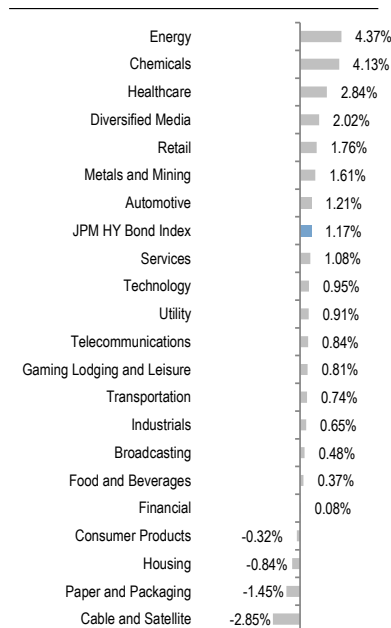
Source: J.P. Morgan

Week



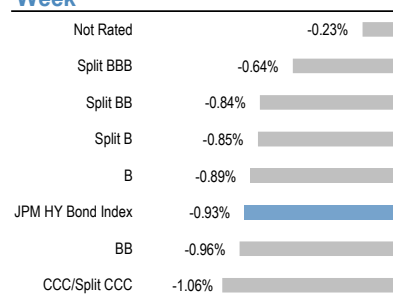
Source: J.P. Morgan.

Year-to-date

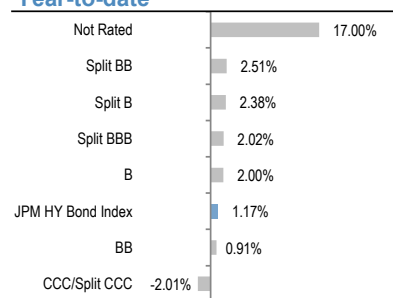


Source: J.P. Morgan.

Week



Year-to-date



Source: J.P. Morgan.

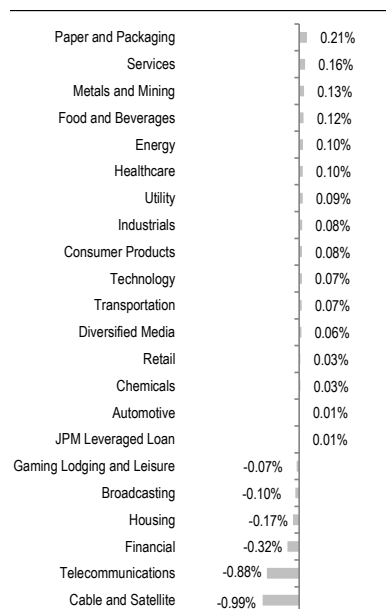
Leveraged Loan Performance

Returns by industry and rating

	Automotive	Broad-casting	Cable Satellite	Chemicals	Consumer Products	Diversified Media	Energy	Financial	Food & Beverages	Gaming Leisure	Healthcare
2Q26	1.95%	3.08%	0.98%	3.61%	3.30%	4.36%	1.95%	1.34%	2.63%	2.09%	1.78%
Week	0.01%	-0.10%	-0.99%	0.03%	0.08%	0.06%	0.10%	-0.32%	0.12%	-0.07%	0.10%
MTD	0.10%	-0.01%	-0.92%	0.74%	0.40%	0.65%	0.51%	0.39%	0.14%	0.08%	0.62%
QTD	1.30%	1.30%	-0.08%	2.64%	2.23%	2.28%	1.84%	1.83%	1.46%	1.00%	2.68%
YTD	4.09%	5.09%	1.64%	7.40%	7.39%	7.32%	5.26%	2.98%	4.56%	4.02%	5.01%
	Housing	Industrials	Metals Min.	Paper/Pack	Retail	Services	Technology	Telecom.	Trans.	Utility	
2Q26	2.89%	1.68%	1.87%	3.00%	2.20%	2.29%	0.39%	1.76%	1.82%	1.62%	
Week	-0.17%	0.08%	0.13%	0.21%	0.03%	0.16%	0.07%	-0.88%	0.07%	0.09%	
MTD	-0.75%	0.45%	0.49%	0.72%	0.33%	0.44%	1.09%	-3.20%	0.28%	0.34%	
QTD	-0.24%	1.76%	1.98%	2.79%	1.74%	2.17%	4.74%	-4.61%	1.79%	1.53%	
YTD	0.65%	4.23%	5.46%	4.67%	5.08%	3.74%	0.34%	0.31%	4.33%	4.48%	
	Loan Index	BBB	Split BBB	BB	Split BB	B	Split B/CCC	Non-rated			
2Q26	1.93%	1.25%	1.23%	1.75%	2.53%	1.93%	3.37%	1.35%			
Week	0.01%	0.01%	0.08%	-0.01%	0.02%	-0.01%	0.20%	0.06%			
MTD	0.41%	0.26%	0.35%	0.31%	0.35%	0.60%	-1.00%	0.16%			
QTD	2.17%	1.28%	1.52%	1.67%	1.70%	2.70%	-0.01%	1.46%			
YTD	3.69%	3.51%	3.74%	3.98%	4.95%	3.86%	-0.87%	5.33%			

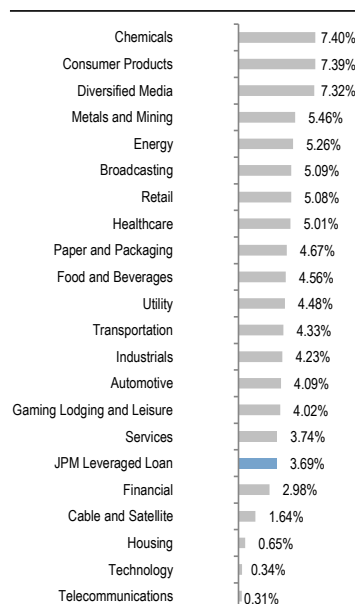
Source: J.P. Morgan; S&P/IHS Markit

Week



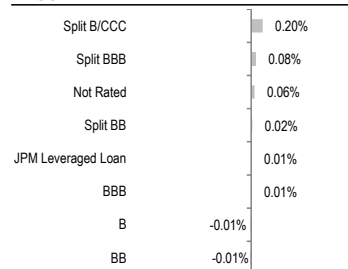
Source: J.P. Morgan; S&P/IHS Markit

Year-to-date

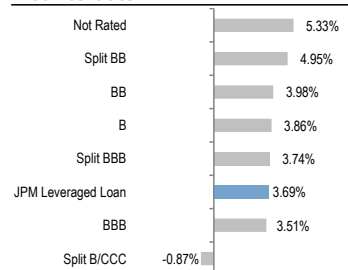


Source: J.P. Morgan; S&P/IHS Markit

Week



Year-to-date



Source: J.P. Morgan; S&P/IHS Markit

Gainers and Losers

J.P. Morgan High Yield Bond Index

Weekly Gainers	Price	Change	Industry	Year-to-date Gainers	Price	Change	Industry
Clearwater Paper - 4.750% - Sr Nts - 28	99.49	9.03	Paper & Pack.	Rackspace Hosting Inc - 3.500% - Sec Nts (1st Lien) - 28	85.77	49.14	Technology
Cordia Finanz GmbH - 9.375% - Sec Nts - 31	99.88	8.88	Food & Bev.	Cornerstone Chemical Company - 10.000% - Sr Toggle Nts -	84.63	37.13	Chemicals
Dye & Durham Limited - 8.625% - Sr Sec Nts - 29	59.75	6.75	Technology	Consolidated Energy Finance - 12.000% - Sr Nts - 31	106.29	36.07	Chemicals
Graftech Finance Inc - 9.875% - Sr Sec Nts (2nd Lien) - 29	80.25	5.00	Metals & Mining	Consolidated Energy Finance - 5.625% - Sr Nts - 28	98.10	32.85	Chemicals
Graftech Finance Inc - 4.625% - Sec Nts (2nd Lien) - 29	69.50	4.50	Metals & Mining	Organon - 7.875% - Sr Nts - 34	106.16	25.66	Healthcare
Endurance International Group - 11.750% - Sr Sec Nts (2nd L	57.50	4.33	Technology	INEOS Quattro Finance 2 - 9.625% - Sec Nts - 29	88.00	18.39	Chemicals
Discovery Communications Holdings - 5.200% - Sr Nts - 47	58.50	4.00	Div. Media	Organon - 5.125% - Sr Nts - 31	99.75	16.87	Healthcare
Xerox Holdings - 13.500% - Sr Sec Nts (2nd Lien) - 31	71.00	3.00	Technology	GPD Cos - 12.500% - Sr Nts - 29	65.50	15.50	Chemicals
Xerox - 6.750% - Sr Nts - 39	37.50	2.50	Technology	Sabre Holdings - 10.750% - Sec Nts - 30	96.64	14.41	Technology
RRD Parent INC - 13.000% - Jr Sub Nts - 49	112.75	2.46	Technology	Xerox Holdings - 5.500% - Sr Nts - 28	60.50	14.38	Technology
Weekly Losers	Price	Change	Industry	Year-to-date Losers	Price	Change	Industry
Acrisure - 8.250% - Sr Nts - 29	74.25	-9.78	Financial	Cable One Inc - 4.000% - Sr Nts - 30	25.94	-51.19	Cable & Sat.
Acrisure - 8.500% - Sr Nts - 29	74.00	-9.41	Financial	Getty Images - 14.000% - Sr Nts - 28	44.59	-49.66	Div. Media
Cable One Inc - 4.000% - Sr Nts - 30	25.94	-8.60	Cable & Sat.	Mercer International - 12.875% - Sr Nts - 28	27.00	-48.00	Paper & Pack.
Acrisure - 6.000% - Sr Nts - 29	72.50	-8.57	Financial	Radio Systems - 9.500% - Sec Nts - 29	38.15	-43.85	Cons. Prod.
Merlin Entertainments Group - 7.375% - Sec Nts - 31	63.25	-7.75	Gaming & Leis.	Cornerstone Building Brands - 6.125% - Sr Nts - 29	10.00	-39.43	Housing
Acrisure - 6.750% - Sr Sec Nts - 32	74.75	-7.50	Financial	CSC Holdings - 7.500% - Sr Nts - 28	22.30	-36.20	Cable & Sat.
Merlin Entertainments Group - 8.375% - Sec Nts - 32	63.25	-6.75	Gaming & Leis.	Aston Martin Capital - 10.000% - Sr Sec Nts - 29	56.13	-36.05	Automotive
Acrisure - 7.500% - Sr Sec Nts - 30	84.00	-6.50	Financial	Hertz Corp - 5.000% - Sr Nts - 29	32.54	-35.19	Services
ANGI Group - 3.875% - Sr Nts - 28	79.13	-6.13	Technology	US LBM Holdings - 6.250% - Sr Nts - 29	55.50	-34.64	Housing
LD Holdings Group LLC - 8.750% - Sr Nts - 27	83.75	-6.00	Financial	Dye & Durham Limited - 8.625% - Sr Sec Nts - 29	59.75	-34.48	Technology

Source: J.P. Morgan.

J.P. Morgan Leveraged Loan Index

Weekly Gainers	Price	Change	Industry	Year-to-date Gainers	Price	Change	Industry
Symplr Software L+450 TL '27	77.38	7.01	Technology	Rackspace Hosting Inc L+275 TL '28	90.29	53.95	Technology
Jadex Inc L+475 TL '28	68.50	6.14	Paper & Pack.	Physician Partners L+400 TL B '29	96.00	48.88	Healthcare
Dragon Buyer L+275 TL B '31	84.25	5.17	Technology	Conair Holdings L+375 TL '28	87.00	35.75	Cons. Prod.
Emerald Electronics Manufacturing Services L+625 TL B '27	75.00	5.00	Technology	ScionHealth L+525 TL B '28	67.17	35.58	Healthcare
Vivid Seats L+225 TL B '29	53.63	4.25	Technology	CBS Radio Inc L+600 TL B '29	90.00	22.00	Broadcasting
Modivcare Buyer L+500 TL '30	89.00	3.67	Healthcare	American Rock Salt L+400 TL '28	97.75	21.05	Chemicals
Cast & Crew Payroll L+375 TL '28	28.38	3.54	Services	Geon Performance Solutions L+425 TL B '28	98.17	19.54	Chemicals
Accelya L+525 TL B '32	89.88	3.38	Services	McDermott L+400 TL '27	96.00	19.17	Energy
Rackspace Hosting Inc L+275 TL '28	90.29	2.94	Technology	Lakeshore Intermediate LLC L+350 TL '28	92.60	19.10	Services
Naked Juice LLC L+325 TL '29	74.78	2.78	Food & Bev.	CJ Foods L+500 TL '30	93.76	17.33	Food & Bev.
Weekly Losers	Price	Change	Industry	Year-to-date Losers	Price	Change	Industry
Mega Broadband Investments L+300 TL B '27	47.61	-18.39	Telecom.	Material Handling Systems L+550 TL B '29	5.94	-58.44	Industrials
Cable One Inc L+200 TL B '28	77.40	-6.60	Cable & Sat.	Ivanti Software L+475 TL '29	31.79	-51.21	Technology
Merlin Entertainments Group L+350 TL B '29	67.50	-5.54	Gaming & Leis.	Mega Broadband Investments L+300 TL B '27	47.61	-47.00	Telecom.
Guggenheim Partners L+250 TL B '31	72.73	-5.17	Financial	Interior Logic Group L+350 TL B '28	24.50	-46.81	Services
Acrisure L+300 TL B '30	82.88	-4.18	Financial	Dye & Durham Limited L+425 TL B '31	45.60	-46.40	Technology
Acrisure L+325 TL B '32	79.81	-4.09	Financial	Precyse Solutions L+400 TL C '28	22.83	-44.99	Healthcare
Summit Behavioral Healthcare L+468 TL '29	56.50	-3.50	Healthcare	Veracode L+475 TL '29	19.50	-44.39	Technology
Virgin Media L+318 TL F '31	82.54	-3.33	Cable & Sat.	American Trailer World L+375 TL '28	48.09	-40.42	Automotive
Florida Food Products L+500 TL '30	73.00	-3.00	Food & Bev.	Cornerstone Building Brands L+563 TL B '28	39.80	-38.70	Housing
Multiplan Inc L+460 TL '30	87.50	-2.93	Healthcare	Cornerstone Building Brands L+325 TL B '28	41.95	-36.00	Housing
McAfee L+300 TL B '29	92.65	-2.73	Technology	Perforce Software L+475 TL B '29	53.78	-35.72	Technology

Source: J.P. Morgan; S&P/IHS Markit

High Yield New Issue Activity

US dollar high yield issues: 14 issues totaling \$19.9bn

Date	Issuer	Amt	Security	Coupon	Maturity	Issuance		Ratings	Sector	Use of Proceeds
						Yield	Spread			
24-Sep-26	Air Transport Services (Stonepeak) (	\$125	Sr Sec Nts (1st)	7.250	15-Mar-32	7.250	219 bp	Ba2/BB/BB+	Transportation	Dividend
23-Sep-26	AMC Entertainment	\$1,265	Sr Sec Nts (1st)	8.875	15-Oct-31	8.875	388 bp	B1/B+/B	Gaming/Leisure	Refinancing
23-Sep-26	AMC Entertainment	\$735	Sr Sec Nts (1st)	8.875	15-Oct-31	8.875	388 bp	B1/B+/B	Gaming/Leisure	Refinancing
23-Sep-26	AIR Global	\$425	Sr Nts	7.875	1-Oct-31	8.125	316 bp	Ba3/BB-/NR	Consumer Products	Refinancing
23-Sep-26	Digital Drive	\$1,120	Sr Sec Nts (1st)	8.875	1-Oct-31	9.257	422 bp	NR/BB-/BB-	Technology	General Corporate
23-Sep-26	Alro Steel (Lindsay Goldberg)	\$935	Sr Sec Nts (1st)	7.375	1-Oct-33	7.375	234 bp	B2/B/BB+	Metals/Mining	Acquisition Finance
22-Sep-26	Solaris Energy	\$1,250	Sr Nts	7.000	1-Apr-32	7.000	217 bp	Ba3/BB-/BB	Utility	General Corporate
22-Sep-26	Millrose Properties	\$500	Sr Nts	6.500	15-Oct-29	6.500	168 bp	Ba2/BB/BBB-	Financial	General Corporate
22-Sep-26	Millrose Properties	\$500	Sr Nts	6.750	15-Oct-31	6.750	191 bp	Ba2/BB/BBB-	Financial	General Corporate
22-Sep-26	Osisko Gold Group	\$120	Sr Sec Nts (1st)	9.250	1-Oct-31	9.250	438 bp	Caa1/B-/NR	Metals/Mining	Refinancing
22-Sep-26	Osisko Gold Group	\$480	Sr Sec Nts (1st)	9.250	1-Oct-31	9.250	438 bp	Caa1/B-/NR	Metals/Mining	General Corporate
22-Sep-26	LandBridge (Five Point) (add-on)	\$125	Sr Nts	6.250	1-Dec-30	6.420	160 bp	B1/BB-/BB	Energy	Refinancing
18-Sep-26	CleanSpark Inc	\$2,276	Sr Sec Nts (1st)	7.875	1-Oct-31	8.245	338 bp	Ba2/NR/BB-	Technology	General Corporate

Source: J.P. Morgan.

Non US dollar high yield new issues: None

Date	Issuer	Amt	Security	Coupon	Maturity	Issuance		Ratings	Sector	Use of Proceeds
						Yield	Spread			

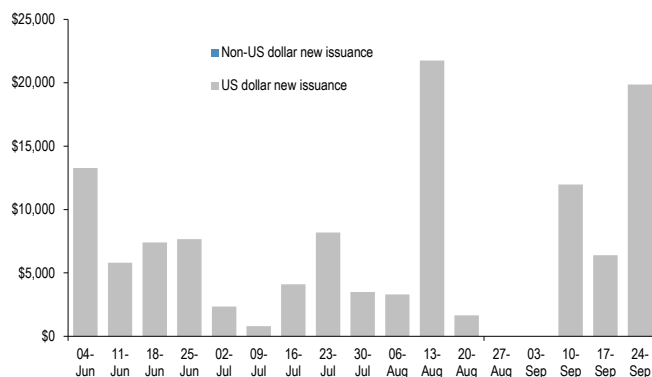
Source: J.P. Morgan.

US dollar high yield forward calendar: None

Date	Issuer	Amt	Security	Ratings	Sector	Underwriter	Use of Proceeds
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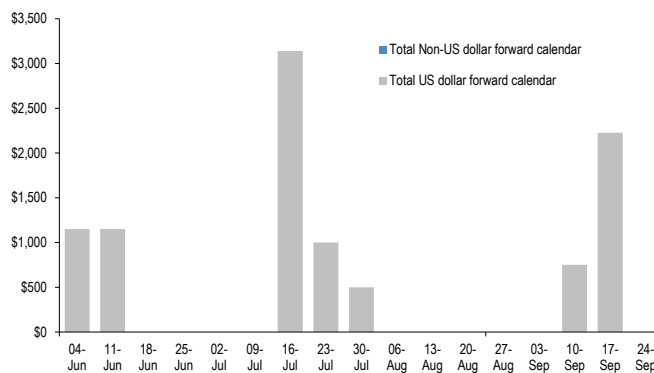
Source: J.P. Morgan.

Weekly high yield new issue volume



Source: J.P. Morgan.

Weekly high yield forward calendar



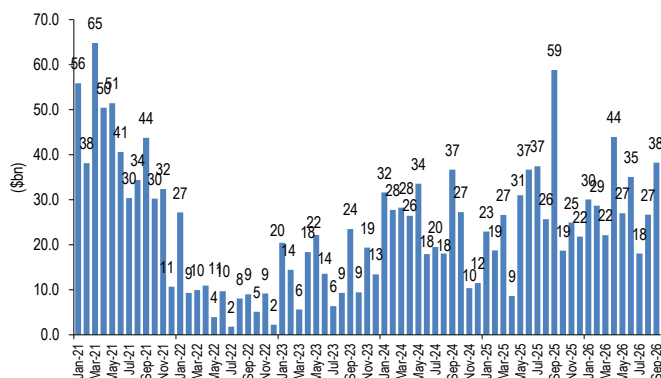
Source: J.P. Morgan.

High Yield New Issue Activity

	2018	2019	2020	2021	2022	2023	2024	2025	YTD25	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Volume (billion)	\$187.4	\$286.6	\$449.9	\$483.0	\$106.5	\$176.1	\$288.8	\$332.0	\$251.8	\$80.9	\$106.0	\$38.2	\$83.0	\$269.8	\$6.4	\$19.9
Number of issues	338	444	694	730	149	254	429	405	313	92	125	34	76	293	7	14
By rating (as a percent of total volume)																
Split BBB	1.3%	2.0%	3.2%	0.9%	0.3%	0.6%	0.4%	0.0%	0.0%	0.0%	0.7%	0.8%	3.4%	1.3%	4.7%	0.0%
BB	33.2%	45.5%	44.3%	39.9%	38.7%	47.1%	44.4%	55.7%	53.0%	55.3%	52.7%	75.5%	63.7%	56.9%	56.3%	82.2%
Split BB	12.8%	9.5%	12.3%	11.8%	7.1%	10.5%	7.9%	4.5%	5.0%	2.2%	8.3%	1.0%	3.0%	4.8%	6.3%	0.0%
B	35.3%	33.0%	28.5%	33.4%	39.4%	35.5%	40.5%	34.2%	35.6%	33.8%	35.4%	21.1%	27.0%	32.4%	32.8%	14.8%
Split B	5.6%	4.2%	4.0%	4.0%	2.1%	4.7%	1.9%	2.0%	2.6%	2.8%	1.9%	1.6%	0.7%	1.8%	0.0%	3.0%
CCC	9.1%	5.5%	7.3%	9.6%	12.2%	1.0%	4.1%	2.3%	2.2%	5.9%	0.9%	0.0%	2.2%	2.8%	0.0%	0.0%
NR	2.7%	0.4%	0.1%	0.4%	0.2%	0.5%	0.8%	1.3%	1.7%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
By use of proceeds (as a percent of total volume)																
Acquisition finance/LBO	21.5%	19.8%	8.5%	20.0%	28.4%	21.5%	12.9%	13.9%	13.5%	22.7%	13.5%	15.1%	9.6%	15.1%	7.3%	4.7%
General corporate	14.6%	12.0%	24.7%	15.8%	21.9%	11.4%	7.0%	12.5%	11.0%	16.1%	31.5%	48.0%	30.6%	26.6%	16.4%	81.2%
Refinancing	60.9%	67.5%	66.1%	60.2%	47.4%	66.2%	75.5%	70.4%	71.7%	58.5%	54.3%	36.6%	56.4%	56.2%	76.3%	13.4%
Dividend	1.8%	0.7%	0.5%	2.2%	0.0%	0.9%	4.3%	2.3%	2.5%	2.7%	0.7%	0.3%	3.4%	2.1%	0.0%	0.6%
By industry (as a percent of total volume)																
Automotive	0.7%	2.5%	6.4%	4.0%	9.4%	6.0%	4.0%	4.8%	6.1%	3.7%	2.6%	3.3%	2.2%	2.8%	0.0%	0.0%
Broadcasting	1.4%	5.3%	2.2%	1.0%	0.8%	1.4%	1.3%	2.7%	3.1%	6.3%	1.4%	0.0%	0.9%	2.7%	0.0%	0.0%
Cable and Satellite	3.3%	8.2%	6.1%	5.0%	8.7%	1.9%	2.6%	1.6%	2.1%	6.4%	1.3%	0.0%	0.0%	2.4%	0.0%	0.0%
Chemicals	3.0%	1.8%	2.1%	3.0%	1.5%	2.9%	2.1%	3.2%	2.8%	2.8%	0.7%	0.0%	1.9%	1.7%	0.0%	0.0%
Consumer Products	1.7%	1.2%	1.5%	3.8%	1.2%	1.0%	2.5%	1.3%	1.3%	0.0%	2.5%	1.1%	2.4%	1.7%	0.0%	2.1%
Diversified Media	1.1%	1.0%	1.1%	2.7%	3.2%	1.6%	1.1%	1.3%	1.0%	8.5%	0.8%	0.0%	1.1%	3.2%	0.0%	0.0%
Energy	24.2%	9.3%	11.8%	14.4%	10.1%	23.2%	15.3%	12.2%	12.1%	11.9%	12.3%	1.9%	6.5%	10.4%	0.0%	0.6%
Financial	8.6%	6.2%	7.0%	8.5%	3.2%	10.9%	15.4%	11.8%	11.9%	8.6%	11.5%	4.9%	23.7%	14.4%	7.0%	5.0%
Food and Beverages	2.7%	3.4%	4.1%	3.7%	3.2%	1.4%	3.2%	0.8%	0.5%	5.2%	2.4%	0.0%	1.2%	2.9%	0.0%	0.0%
Gaming Lodging and Leisure	6.6%	7.8%	9.4%	7.4%	15.0%	5.5%	7.3%	7.8%	8.7%	3.6%	4.0%	7.6%	4.3%	4.0%	0.0%	10.1%
Healthcare	10.3%	11.8%	9.5%	8.8%	8.6%	4.8%	5.3%	6.6%	5.8%	1.9%	2.8%	10.5%	7.7%	4.1%	0.0%	0.0%
Housing	3.4%	3.0%	4.2%	3.8%	4.5%	2.5%	2.5%	6.0%	6.9%	2.0%	4.4%	2.0%	1.9%	2.9%	0.0%	0.0%
Industrials	2.7%	7.3%	3.5%	3.7%	3.0%	10.2%	8.1%	4.5%	5.4%	8.0%	4.3%	9.8%	4.5%	5.5%	50.8%	0.0%
Metals and Mining	3.7%	2.6%	3.8%	2.6%	4.6%	2.8%	3.5%	4.5%	4.1%	1.9%	3.6%	10.8%	5.0%	3.5%	0.0%	7.7%
Paper and Packaging	2.3%	4.1%	2.1%	1.9%	4.0%	4.2%	1.6%	1.6%	1.9%	0.0%	3.2%	0.0%	0.0%	1.2%	0.0%	0.0%
Retail	2.1%	2.1%	3.6%	2.9%	1.0%	1.6%	1.6%	3.5%	3.7%	7.3%	1.3%	0.0%	0.5%	2.9%	0.0%	0.0%
Services	5.1%	8.3%	5.4%	6.4%	1.0%	4.4%	5.7%	4.3%	3.2%	1.7%	6.0%	1.6%	3.9%	4.1%	9.4%	0.0%
Technology	5.3%	4.6%	7.4%	4.8%	10.6%	5.8%	7.3%	11.9%	11.1%	13.0%	23.6%	38.6%	25.4%	21.0%	21.1%	67.5%
Telecommunications	6.3%	4.3%	4.9%	6.0%	1.1%	2.5%	2.6%	4.2%	3.9%	2.0%	0.9%	0.0%	0.0%	1.0%	0.0%	0.0%
Transportation	2.8%	1.6%	2.1%	3.8%	4.7%	3.2%	5.2%	1.2%	1.2%	4.2%	3.1%	0.3%	3.2%	3.5%	0.0%	0.6%
Utility	2.9%	3.5%	1.8%	1.5%	0.6%	2.4%	2.1%	4.4%	3.1%	0.7%	7.0%	5.8%	2.7%	3.8%	0.0%	6.3%

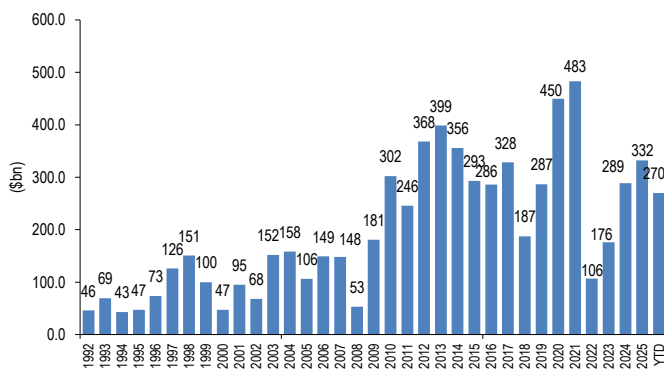
Source: J.P. Morgan.

Monthly high yield new issue volume



Source: J.P. Morgan.

Annual high yield new issue volume



Source: J.P. Morgan.

Institutional Loan New Issue Activity

US dollar Institutional new issues: 19 institutional loans totaling \$18.8bn

Date	Issuer	Amt	Facility	Coupon	Rate Floor	Tenor	Ratings	Industry	Issuance		Use of Proceeds
									Price	Yield	
24-Sep-26	Pitney Bowes	\$585	TL (cov-lite)	300	0.00%	5.5yrs	B1/BB-	Technology	100.00	7.03%	Repricing
24-Sep-26	PANTHERx Rare (Warburg Pincus/Nautic Partners/	\$2,270	TL (cov-lite)	250	0.00%	7.0yrs	B2/B+	Healthcare	99.75	6.59%	Acquisition
24-Sep-26	Heidrick & Struggles (Advent International/Corvex)	\$225	Add-on TL (cov-lite)	400	0.00%	6.2yrs	B2/B	Services	99.75	8.09%	Dividend
24-Sep-26	Air Transport (Stonepeak)	\$125	Add-on TL (cov-lite)	200	0.00%	5.5yrs	Ba2/BB	Transportation	99.50	6.16%	Dividend
24-Sep-26	Jostens (Platinum Equity)	\$429	TL (cov-lite)	275	0.00%	5.2yrs	B2/B	Consumer Products	100.00	6.78%	Repricing
24-Sep-26	Crown Equipment	\$690	TL (cov-lite)	175	0.00%	5.1yrs	Ba3/BB-	Industrials	100.00	5.78%	Repricing
24-Sep-26	EMG Utica	\$559	TL	300	0.00%	3.5yrs	B3/B+	Energy	100.00	7.03%	Repricing
24-Sep-26	Sophos (Thoma Bravo)	\$1,660	TL (cov-lite)	500	0.00%	2.5yrs	B3/B-	Technology	97.00	9.78%	Refinancing
24-Sep-26	American Auto Auction (Brightstar)	\$100	Add-on TL (cov-lite)	450	0.00%	5.6yrs	B3/B-	Automotive	99.50	8.66%	Refinancing
23-Sep-26	AMC Entertainment	\$850	TL (cov-lite)	450	0.00%	5.0yrs	B3/B-	Gaming/Leisure	98.50	8.91%	Refinancing
23-Sep-26	Saber Power (Veritas)	\$1,250	TL	250	0.00%	7.0yrs	B2/B+	Utility	99.75	6.59%	Acquisition
23-Sep-26	Saber Power (Veritas)	\$225	DDTL	250	0.00%	7.0yrs	B2/B+	Utility	99.75	6.59%	Acquisition
23-Sep-26	Quaker Houghton	\$550	TL	175	0.00%	7.0yrs	Ba2/BB-	Chemicals	99.75	5.84%	Refinancing
23-Sep-26	Alro Steel (Lindsay Goldberg)	\$1,135	TL (cov-lite)	350	0.00%	7.0yrs	B1/B	Metals/Mining	99.50	7.66%	Acquisition
23-Sep-26	Crusoe	\$509	DDTL	425	0.00%	4.2yrs	NR/NR	Technology	99.00	8.53%	General Corporate
23-Sep-26	Middle River Power (Partners Group)	\$625	Add-on TL	325	0.00%	5.8yrs	NR/NR	Utility	99.75	7.34%	Acquisition
22-Sep-26	Authentic Brands (CVC/Leanard Green/General Atk	\$3,700	TL (cov-lite)	200	0.00%	7.0yrs	Ba3/BB-	Retail	99.25	6.17%	Refinancing
22-Sep-26	Authentic Brands (CVC/Leanard Green/General Atk	\$500	TL (cov-lite)	200	0.00%	7.0yrs	Ba3/BB-	Retail	99.25	6.17%	Refinancing
22-Sep-26	Authentic Brands (CVC/Leanard Green/General Atk	\$300	TL (cov-lite)	200	0.00%	7.0yrs	Ba3/BB-	Retail	99.25	6.17%	General Corporate
18-Sep-26	Mister Car Wash (Leonard Green)	\$360	TL (cov-lite)	300	0.00%	7.0yrs	B2/B	Automotive	99.50	7.11%	Dividend
18-Sep-26	Mister Car Wash (Leonard Green)	\$1,640	TL (cov-lite)	300	0.00%	7.0yrs	B2/B	Automotive	99.50	7.11%	Refinancing
18-Sep-26	Solmax (Caisse de depot)	\$525	TL (cov-lite)	575	0.00%	4.6yrs	B3/B-	Housing	97.00	10.48%	Refinancing

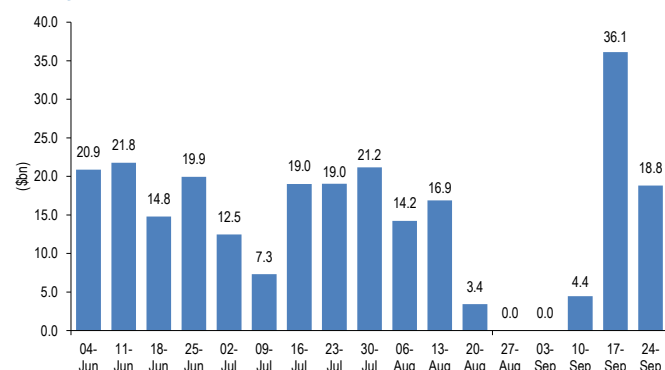
Source: J.P. Morgan.

US dollar institutional loan in-market forward calendar: 19 institutional loans launched totaling \$27.4bn

Date	Issuer	Amt	Facility	Industry	Arrangers	Tenor	Ratings	Spread / Floor / OID	SOFR CSA	Use of Proceeds
8-Sep-26	Peranel (Platinum Equity/Nestle)	\$1,856	TL	Food & Beverage	BAML	7.0yrs	B1 / B+	S+400 / 0.00% / 97.00	No CSA	M&A
22-Sep-26	Aspire Bakeries (Lindsay Goldberg)	\$1,175	TL	Consumer	JPM	4.3yrs	B2 / B	S+275 / 0.00% / 100.00	No CSA	Reprice
22-Sep-26	Bending Spoons	\$750	Add-on TL	Technology	JPM	4.5yrs	Ba3 / B+	S+562.5 / 0.00% / 99.75-100.00	No CSA	M&A
14-Sep-26	Dessert Holdings (Bain)	\$1,375	TL	Consumer	GS	7.0yrs	B3 / B-	S+400 / 0.00% / 99.00-99.50	No CSA	Other
21-Sep-26	PennAero (Tinicum/Blackstone)	\$725	TL	Manufacturing	Citizens	6.5yrs	B2 / B	S+250 / 0.50% / 100.00	No CSA	Reprice
15-Sep-26	Zest Dental (BC Partners)	\$308	TL	Healthcare	Citi	5.0yrs	B3 / B	S+600 / 0.00% / 98.50	No CSA	Refi
22-Sep-26	White Cap (CD&R)	\$4,132	TL	Industrials	DB	7.0yrs	B3 / B	S+325-350 / 0.00% / 99.50-99.75	No CSA	Other

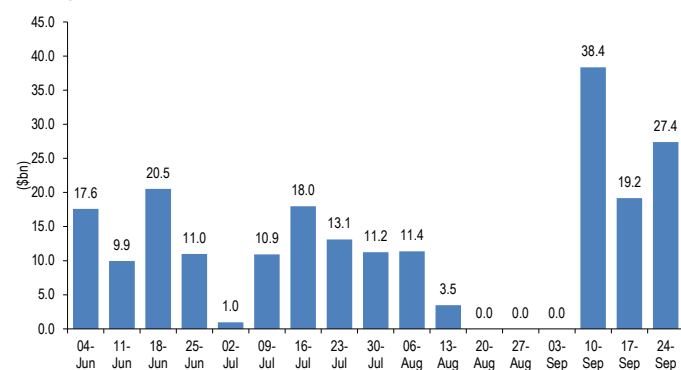
Source: J.P. Morgan.

Weekly institutional loan new issue volume



Source: J.P. Morgan.

Weekly institutional in-market forward calendar



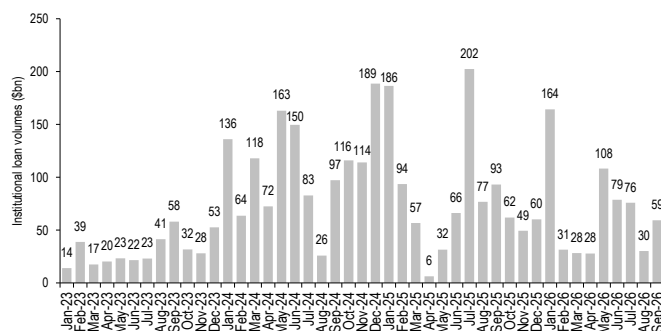
Source: J.P. Morgan.

Institutional Loan New Issue Activity

	2018	2019	2020	2021	2022	2023	2024	2025	YTD25	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Volume (billion)	\$703.7	\$391.6	\$421.6	\$835.1	\$252.5	\$370.1	\$1327.0	\$984.3	\$792.6	\$223.8	\$214.6	\$59.4	\$165.4	\$603.8	\$36.1	\$18.8
Number of issues	1210	650	606	1249	351	473	1355	1029	791	209	226	53	160	595	28	19
By rating (as a percent of total volume)																
Split BBB	2.4%	0.6%	1.5%	0.9%	0.0%	1.2%	0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
BB	21.4%	29.9%	17.9%	17.0%	16.6%	28.3%	21.8%	17.7%	17.6%	16.1%	34.8%	24.5%	15.2%	22.5%	21.0%	31.2%
Split BB	8.1%	8.3%	7.0%	6.0%	7.7%	7.4%	6.1%	8.0%	8.4%	7.8%	13.5%	3.4%	8.8%	10.1%	4.0%	3.1%
B	64.8%	55.7%	68.5%	73.9%	72.9%	60.2%	69.4%	70.2%	69.9%	72.9%	47.1%	70.1%	69.0%	62.7%	75.0%	59.7%
Split B/CCC	0.2%	1.9%	2.0%	0.6%	1.1%	0.5%	0.2%	0.6%	0.6%	0.1%	0.0%	0.0%	2.0%	0.6%	0.0%	0.0%
NR	2.6%	2.9%	2.1%	1.3%	1.4%	1.6%	1.7%	3.1%	3.1%	3.1%	3.1%	2.0%	4.9%	3.6%	0.0%	6.0%
By use of proceeds (as a percent of total volume)																
Repricing	36.0%	15.5%	26.0%	24.4%	3.0%	19.2%	57.3%	50.0%	53.2%	51.5%	35.3%	34.8%	34.0%	40.9%	42.2%	12.0%
Refinancing	21.1%	35.5%	28.3%	26.5%	32.4%	58.7%	29.9%	29.8%	28.5%	23.5%	36.0%	36.0%	42.0%	33.0%	32.4%	50.6%
Acquisition	36.3%	40.2%	33.8%	36.8%	56.1%	16.4%	8.1%	13.0%	11.7%	20.7%	20.5%	23.3%	13.4%	18.6%	19.8%	29.3%
General Corporate	1.2%	3.0%	4.1%	2.6%	3.3%	0.7%	1.1%	2.1%	1.9%	2.2%	4.8%	1.4%	6.4%	4.2%	0.0%	4.3%
Dividend	4.4%	4.4%	7.3%	8.3%	2.1%	4.2%	2.8%	4.4%	4.0%	2.0%	1.9%	4.1%	3.8%	2.5%	4.8%	3.8%
By industry (as a percent of total volume)																
Automotive	2.6%	2.5%	1.7%	3.3%	2.8%	2.4%	2.9%	2.6%	2.9%	3.9%	3.1%	9.6%	4.8%	3.8%	10.0%	11.2%
Broadcasting	0.3%	3.8%	1.3%	0.3%	0.5%	0.5%	0.2%	0.5%	0.4%	0.8%	0.0%	0.0%	0.6%	0.4%	0.0%	0.0%
Cable and Satellite	0.3%	4.9%	2.5%	1.3%	2.3%	1.4%	0.7%	0.5%	0.5%	0.0%	0.1%	0.0%	0.7%	0.2%	0.0%	0.0%
Chemicals	4.0%	1.9%	2.7%	3.2%	4.8%	5.9%	3.7%	2.1%	1.8%	0.6%	5.3%	1.2%	2.4%	2.8%	0.0%	2.9%
Consumer Products	7.9%	1.5%	3.6%	6.1%	2.2%	3.1%	2.0%	2.2%	1.9%	4.0%	5.3%	6.9%	5.4%	4.8%	10.2%	2.3%
Diversified Media	3.3%	2.3%	3.1%	2.8%	2.0%	6.9%	2.7%	3.0%	3.3%	4.4%	7.5%	1.5%	2.5%	5.0%	2.4%	0.0%
Energy	3.3%	4.4%	0.8%	2.2%	2.1%	5.3%	3.3%	3.5%	3.6%	7.8%	6.4%	6.2%	3.6%	6.2%	0.0%	3.0%
Financial	6.6%	6.6%	10.2%	6.8%	6.6%	10.0%	11.9%	12.4%	12.5%	13.4%	8.1%	4.9%	6.3%	9.6%	8.0%	0.0%
Food and Beverages	0.5%	6.0%	3.1%	1.5%	4.9%	3.6%	2.9%	3.9%	3.3%	2.4%	1.1%	1.9%	5.5%	2.8%	3.0%	0.0%
Gaming Lodging and Leisure	9.0%	6.4%	3.4%	3.5%	6.3%	6.7%	6.1%	4.4%	4.7%	3.4%	3.9%	2.3%	3.0%	3.5%	1.4%	4.5%
Healthcare	11.5%	10.2%	10.0%	14.0%	12.3%	6.4%	10.1%	10.2%	10.1%	11.6%	17.1%	20.5%	15.6%	14.6%	27.4%	12.1%
Housing	2.5%	2.0%	2.6%	3.0%	4.5%	2.6%	2.6%	3.3%	3.6%	0.4%	2.6%	0.9%	2.5%	1.8%	0.0%	2.8%
Industrials	7.1%	5.9%	8.4%	7.2%	7.2%	6.8%	7.6%	9.6%	9.6%	9.3%	8.3%	9.5%	10.5%	9.3%	11.5%	3.7%
Metals and Mining	1.1%	0.1%	0.5%	0.2%	0.5%	0.6%	0.7%	0.7%	0.8%	0.3%	0.6%	1.9%	0.7%	0.5%	0.0%	6.0%
Paper and Packaging	2.2%	3.9%	1.5%	4.0%	3.3%	2.6%	4.0%	3.0%	2.6%	2.7%	3.6%	2.8%	2.7%	3.0%	4.7%	0.0%
Retail	1.7%	2.3%	3.2%	3.2%	0.3%	2.1%	1.2%	2.4%	2.7%	1.6%	1.3%	7.6%	4.3%	2.2%	0.0%	23.9%
Services	9.2%	13.7%	9.0%	12.5%	9.2%	11.4%	13.2%	14.0%	14.1%	12.8%	10.9%	9.2%	13.0%	12.2%	14.4%	1.2%
Technology	17.0%	12.4%	18.3%	18.3%	22.0%	13.6%	16.4%	14.3%	14.3%	10.0%	3.6%	4.6%	10.3%	7.8%	0.0%	14.6%
Telecommunications	4.7%	2.8%	8.5%	2.7%	3.0%	2.2%	1.1%	1.3%	1.4%	0.8%	1.4%	0.0%	0.0%	0.8%	0.0%	0.0%
Transportation	2.2%	2.5%	2.3%	3.1%	1.6%	2.2%	2.2%	2.7%	2.9%	4.9%	4.3%	0.2%	2.3%	4.0%	0.0%	0.7%
Utility	2.9%	4.1%	3.4%	0.9%	1.4%	3.6%	3.7%	3.4%	3.0%	4.8%	5.6%	8.4%	3.4%	4.7%	7.1%	11.2%

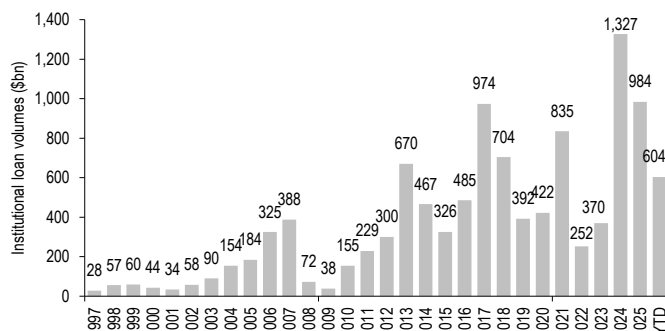
Source: J.P. Morgan; PitchBook Data, Inc.

Monthly institutional loan new issue volume



Source: J.P. Morgan.

Annual institutional loan new issue volume



Source: J.P. Morgan.

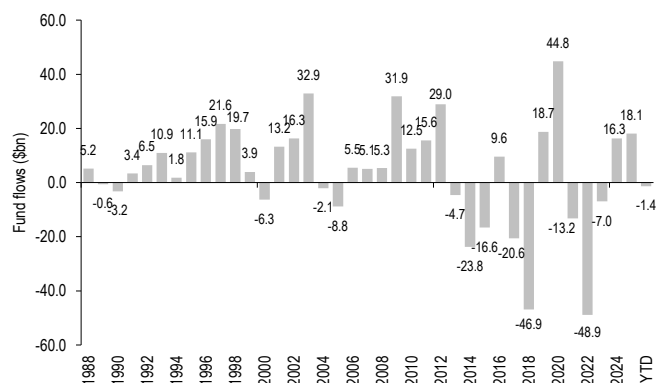
High Yield Supply and Demand

Sources of supply and demand (\$bn)

	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Gross new issuance	286.6	449.9	483.0	106.5	176.1	288.8	332.0	80.9	106.0	38.2	83.0	269.8	6.4	19.9
Fallen angels	15.1	227.7	9.6	13.6	14.2	9.6	61.3	16.7	14.7	1.5	3.7	35.1	0.0	0.0
Total Supply	301.7	677.6	492.6	120.1	190.2	298.5	393.2	97.6	120.7	39.7	86.6	304.9	6.4	19.9
Calls	156.3	211.4	284.6	86.8	72.8	145.3	181.1	49.8	44.8	2.8	38.4	133.1	0.5	0.8
Tenders	55.1	60.1	66.0	56.3	36.0	55.4	60.8	6.1	18.0	0.9	3.1	27.3	0.0	0.0
Maturities	55.0	41.5	52.3	64.1	52.2	41.6	41.8	4.7	7.4	3.3	16.0	28.0	1.3	0.7
Rising stars	58.9	23.6	53.7	113.0	124.7	44.3	33.9	27.4	19.3	0.5	14.3	61.0	0.5	0.0
Coupon reinvestment @ 75%	89.1	86.6	87.5	80.7	69.8	70.0	72.5	19.3	18.4	4.6	18.2	55.9	1.4	1.4
Mutual fund flows (AMG)	18.7	44.8	-13.2	-48.9	-7.0	16.3	18.1	-10.2	10.5	-2.7	-1.7	-1.4	-2.5	0.5
Total Demand	433.2	468.1	530.9	352.0	348.5	372.9	408.2	97.1	118.4	9.3	88.4	303.9	1.2	3.4
Supply surplus/(shortfall)	-131.4	209.5	-38.3	-231.9	-158.2	-74.4	-15.0	0.5	2.3	30.4	-1.8	1.0	5.2	16.5

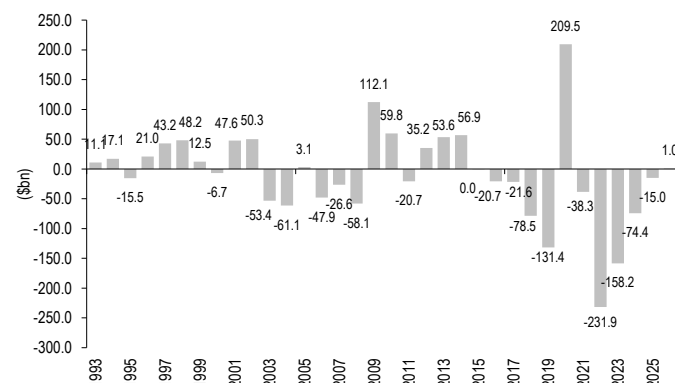
Source: J.P. Morgan; Bloomberg Finance L.P.; Lipper FMI

High yield mutual funds flows



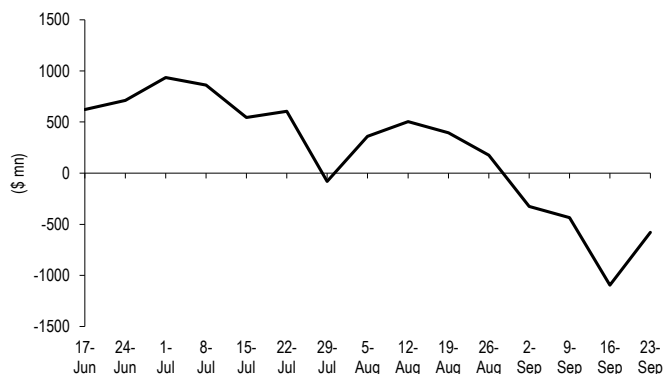
Source: J.P. Morgan; Lipper FMI

Supply surplus/shortfall



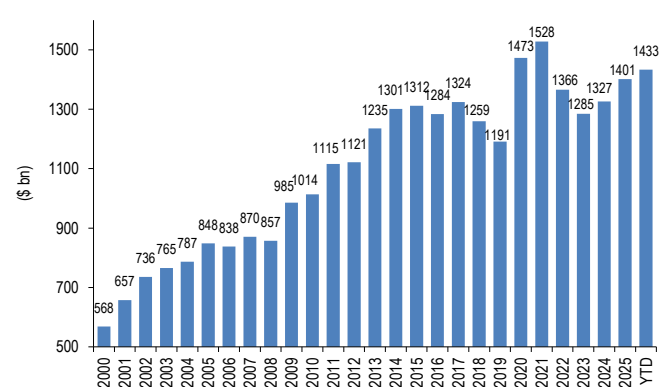
Source: J.P. Morgan.
Note: Includes fallen angels

Four-week rolling high yield mutual fund flows



Source: J.P. Morgan; Lipper FMI

US high yield market size



Source: J.P. Morgan.

Leveraged Loan Supply and Demand

Sources of supply and demand (\$bn)

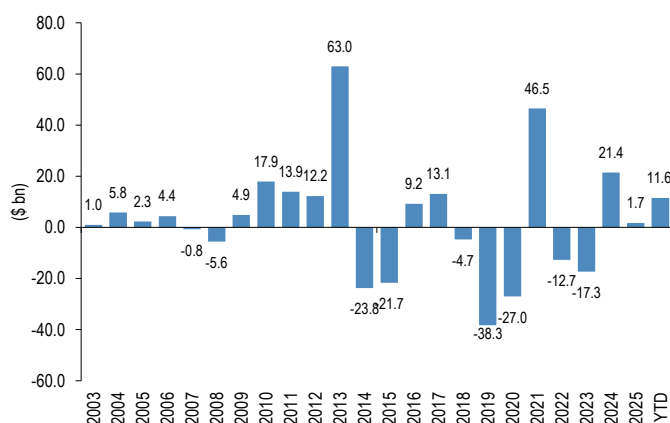
(\$bn)	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
Gross new issuance	391.6	421.6	835.1	252.5	370.1	1,327.0	984.3	223.8	214.6	59.4	165.4	603.8	36.1	18.8
Repricings	-60.5	-109.7	-204.2	-7.5	-71.0	-760.0	-492.6	-115.2	-75.7	-20.6	-56.1	-247.1	-15.3	-2.3
Total Net Supply	331.0	311.9	631.0	244.9	299.1	567.0	491.7	108.6	138.9	38.7	109.2	356.7	20.9	16.5
Paydowns*	249.3	219.4	361.5	187.5	275.1	390.2	310.7	91.2	95.8	20.3	79.4	266.4	1.5	0.5
Retail inflows	-38.3	-27.0	46.5	-12.7	-17.3	21.4	1.7	-2.7	5.3	3.5	9.0	11.6	0.7	1.3
CLO issuance**	119.2	92.1	183.7	130.3	115.6	202.5	202.6	46.4	34.7	9.4	41.7	122.8	3.4	3.1
Total Demand	330.1	284.4	591.8	305.1	373.4	614.1	515.0	134.9	135.8	33.3	130.1	400.7	5.6	4.9
Supply surplus/(shortfall)	0.9	27.4	39.2	-60.2	-74.3	-47.1	-23.2	-26.3	3.1	5.5	-20.9	-44.0	15.3	11.7

Source: J.P. Morgan; PitchBook Data, Inc.; Lipper FMI

* Pay-downs include amortizations, unscheduled pay-downs, and bond for loan issuance; CLO issuance includes only USD deals

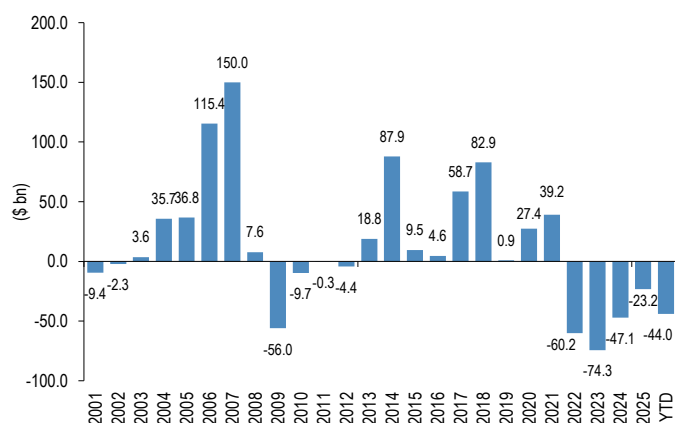
** CLO Issuance excludes refi/reset

Leveraged loan mutual funds flows



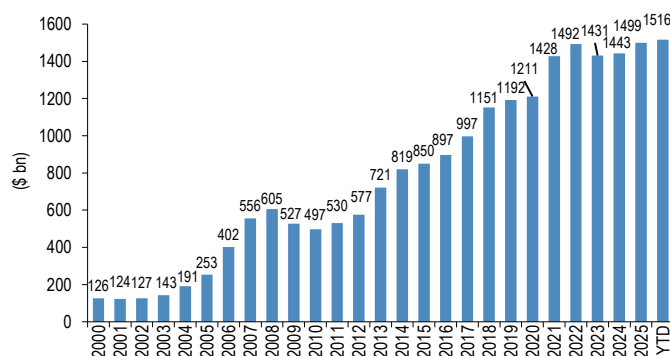
Source: J.P. Morgan; Lipper FMI

Supply surplus/shortfall



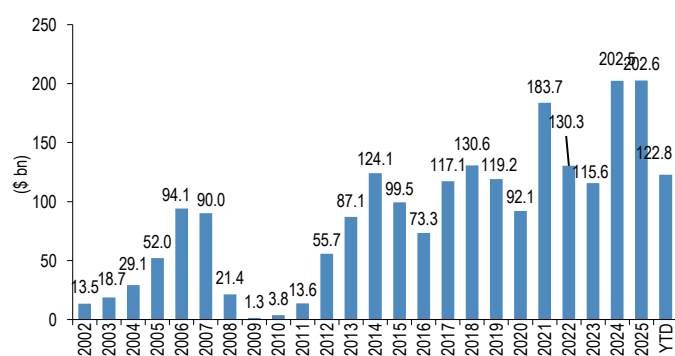
Source: J.P. Morgan.

Leveraged loan market size



Source: J.P. Morgan; S&P/IHS Markit

US CLO issuance



Source: J.P. Morgan; PitchBook Data, Inc.
Note: Excludes refi/reset volume

CLO Market Snapshot

US CLO secondary spreads

Sector	WAL (years)	Current Discount Margin	Change		2025YE
			1-Wk	YTD	
US CLO					
CLOIE Post-Crisis Index					
AAA	1.16	116	1	-2	118
AA	1.05	143	0	-9	152
A	1.16	172	-1	-11	183
BBB	2.51	330	-3	9	320
BB	5.22	743	-6	41	702
B	8.22	1059	1	-18	1077

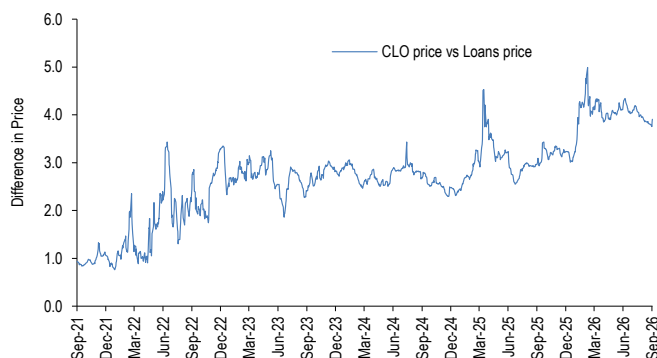
Source: J.P. Morgan.

US CLO secondary yields

Sector	Current Yield	Change		2025YE
		1-Wk	YTD	
US CLO				
CLOIE Post-Crisis Index				
AAA	5.74%	17	113	4.61%
AA	6.00%	16	103	4.97%
A	6.30%	14	96	5.34%
BBB	7.99%	15	125	6.74%
BB	12.28%	15	158	10.70%
B	15.59%	22	95	14.64%

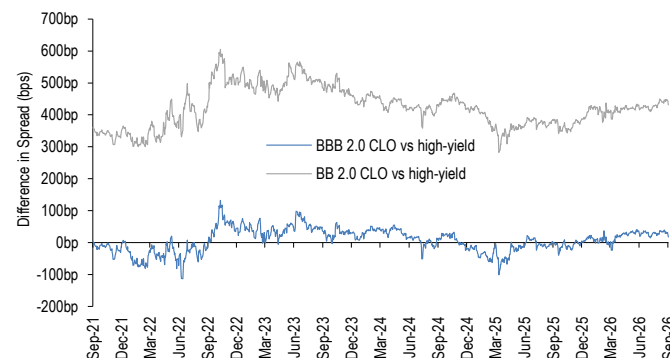
Source: J.P. Morgan.

CLOs versus leveraged loans



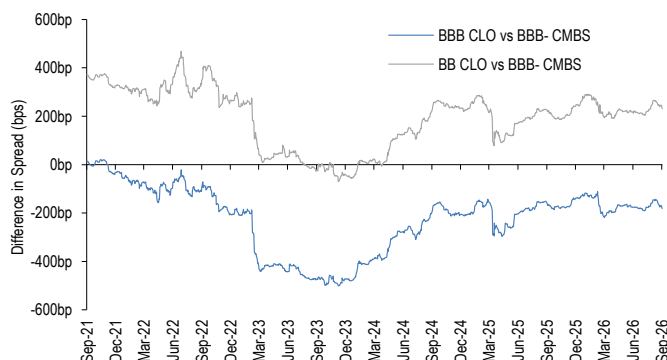
Source: J.P. Morgan.

BBB/BB CLOs versus high yield



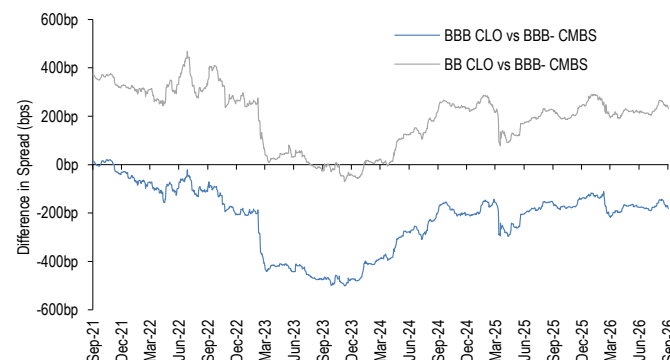
Source: J.P. Morgan.

AAA/AA CLOs versus investment grade



Source: J.P. Morgan.

BBB/BB CLOs versus BBB- CMBS



Source: J.P. Morgan.

High Yield and Leveraged Loan Defaults

Recent defaults

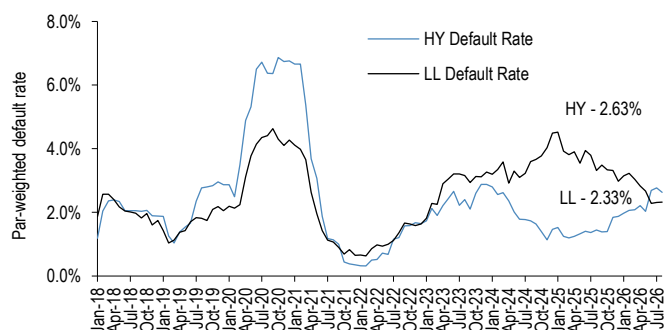
Date	Issuer	Bonds (\$mn)	Loans (\$mn)	Total (\$mn)	Industry	Action
2-Aug-26	Hughes Satellite Systems	1,500.0	0.0	1,500.0	Industrials	Filed Chapter 11
26-Jul-26	Unifrax Investment (Alkegen)	1,454.2	1,673.2	3,127.4	Industrials	Filed Chapter 11
30-Jun-26	Dish DBS	9,750.0	0.0	9,750.0	Cable and Satellite	Filed Chapter 11
3-Jun-26	Inotiv	0.0	266.9	266.9	Healthcare	Filed Chapter 11
16-Apr-26	QVC Group	2,212.9	0.0	2,212.9	Retail	Filed Chapter 11
10-Apr-26	Intrado Corp (West Technology)	441.6	871.8	1,313.4	Telecommunications	Missed interest payment

Source: J.P. Morgan Note: Includes only US dollar-denominated debt from domestic high yield issuers.

*Indicates an issuer that has missed an interest payment and is currently in a 30-day grace period

LTM default rate

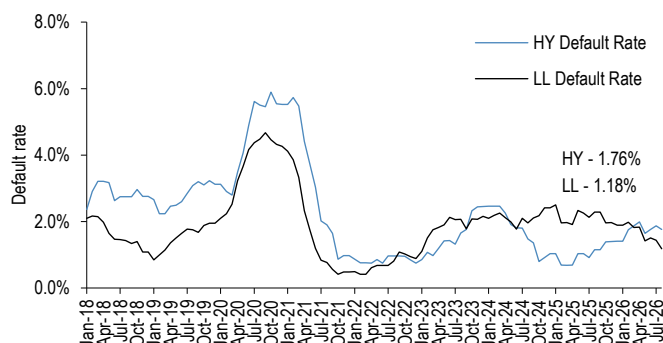
based on par amount



Source: J.P. Morgan.
Note: Includes distressed exchanges

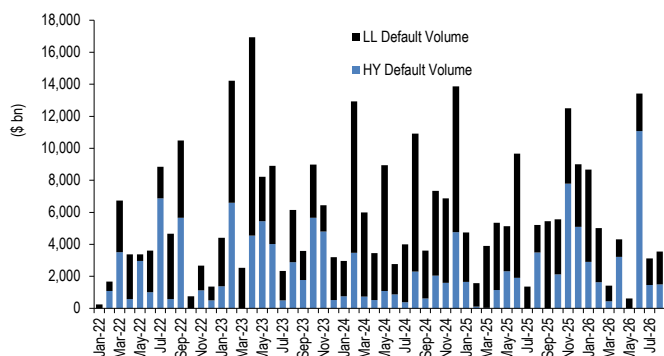
LTM default rate

based on number of issues



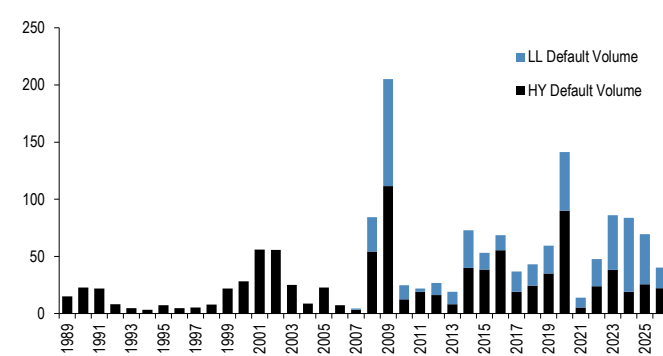
Source: J.P. Morgan.
Note: Excludes distressed exchanges

Monthly default volume



Source: J.P. Morgan; Moody's Investor Service
Note: Includes distressed exchanges

Annual default volume



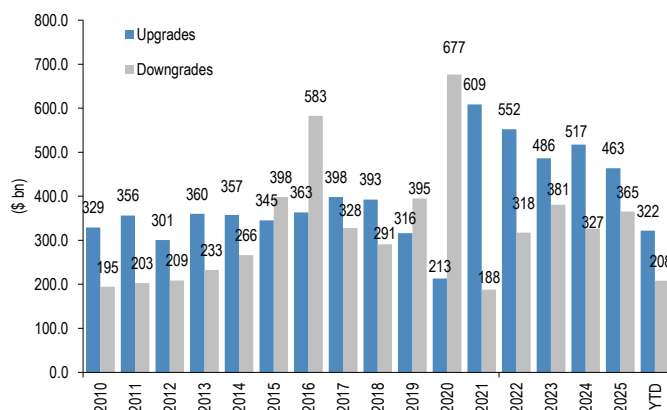
Source: J.P. Morgan; Moody's Investor Service
Note: Includes distressed exchanges

High Yield Ratings Upgrades and Downgrades

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
By number of issuers																
Upgrades	305	272	205	177	386	291	266	307	277	62	66	16	52	180	10	1
Downgrades	247	211	308	523	167	216	267	252	269	66	61	8	34	161	2	3
Upgrade/downgrade ratio	1.2	1.3	0.7	0.3	2.3	1.3	1.0	1.2	1.0	0.9	1.1	2.0	1.5	1.1	5.0	0.3
By dollar volume (\$bn)																
Upgrades	398.4	392.6	316.0	213.2	608.7	552.1	486.3	517.3	463.4	112.1	127.1	18.9	82.5	321.7	14.6	0.5
Downgrades	327.8	291.0	394.8	676.6	188.2	317.5	380.7	326.5	365.0	83.8	78.6	7.1	45.7	208.2	1.4	1.5
Upgrade/downgrade ratio	1.2	1.3	0.8	0.3	3.2	1.7	1.3	1.6	1.3	1.3	1.6	2.7	1.8	1.5	10.3	0.3

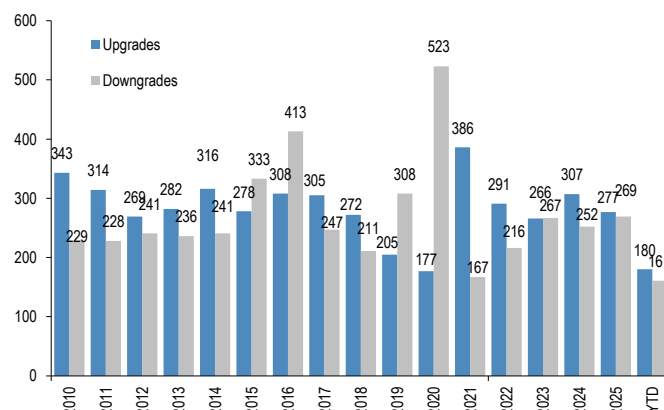
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch
Note: US Only

Upgrades and downgrades (par amount)



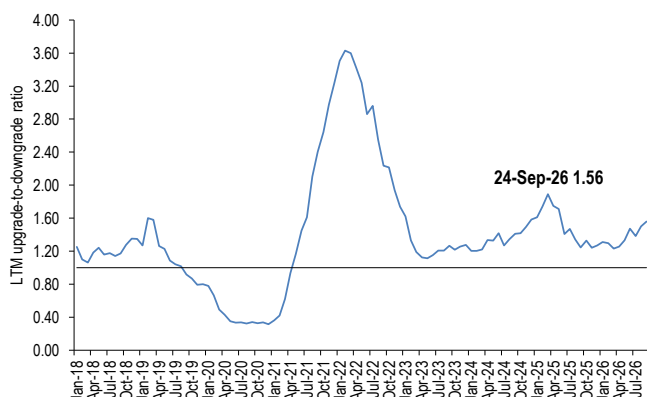
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Upgrades and downgrades (issuer)



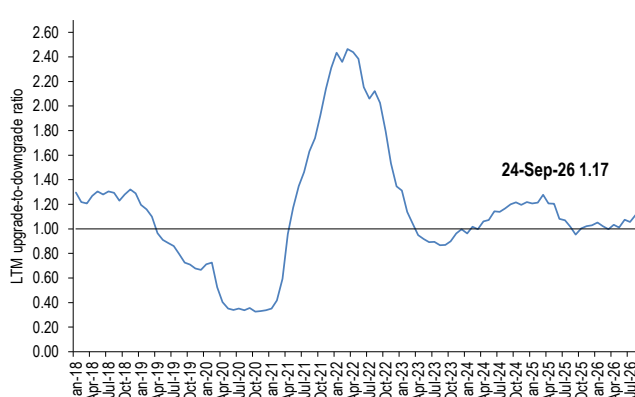
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

LTM upgrade-to-downgrade ratio (par amount)



Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

LTM upgrade-to-downgrade ratio (issuer)



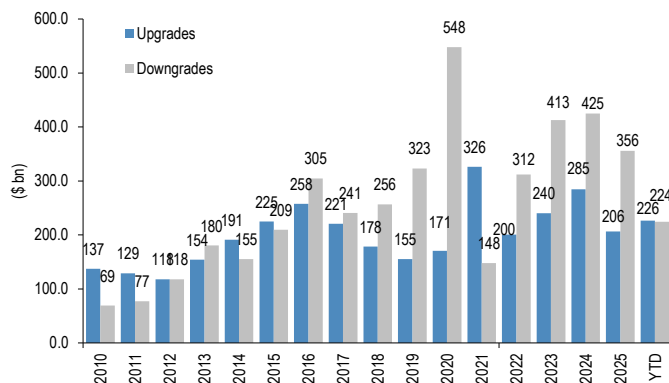
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Leveraged Loan Ratings Upgrades and Downgrades

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	QTD	YTD	Last week	Curr. Week
By number of issuers																
Upgrades	203	186	153	189	359	217	208	231	167	48	63	18	48	159	6	6
Downgrades	295	286	367	649	170	326	423	386	323	65	70	12	48	183	7	2
Upgrade/downgrade ratio	0.7	0.7	0.4	0.3	2.1	0.7	0.5	0.6	0.5	0.7	0.9	1.5	1.0	0.9	0.9	3.0
By dollar volume (\$bn)																
Upgrades	220.8	178.3	155.5	170.7	326.3	200.5	240.2	284.8	206.4	62.9	91.2	23.1	72.3	226.4	10.3	5.0
Downgrades	240.7	256.4	323.2	548.1	148.0	311.9	412.9	424.8	355.9	74.1	87.7	12.2	62.7	224.4	5.6	4.5
Upgrade/downgrade ratio	0.9	0.7	0.5	0.3	2.2	0.6	0.6	0.7	0.6	0.8	1.0	1.9	1.2	1.0	1.8	1.1

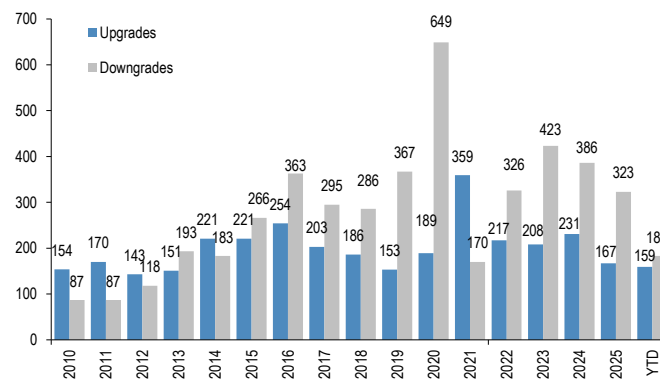
Source: J.P. Morgan; Moody's Investors Service; S&P
Note: Global Numbers

Upgrades and downgrades (par amount)



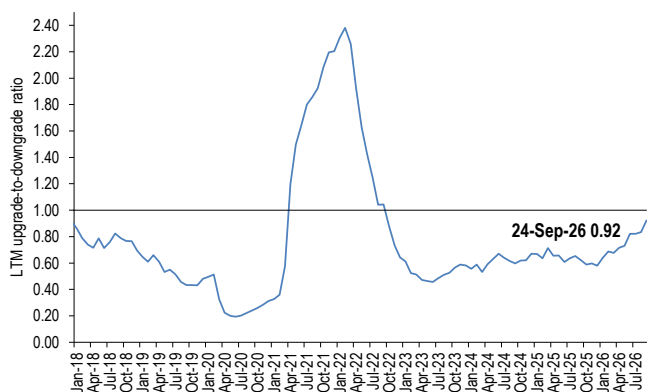
Source: J.P. Morgan; Moody's Investors Service; S&P

Upgrades and downgrades (issuer)



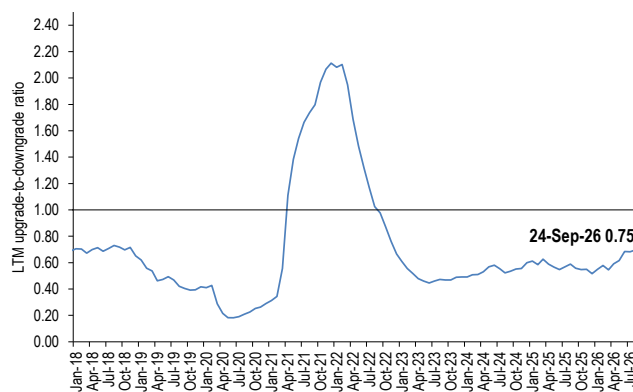
Source: J.P. Morgan; Moody's Investors Service; S&P

LTM upgrade-to-downgrade ratio (par amount)



Source: J.P. Morgan; Moody's Investors Service; S&P

LTM upgrade-to-downgrade ratio (issuer)



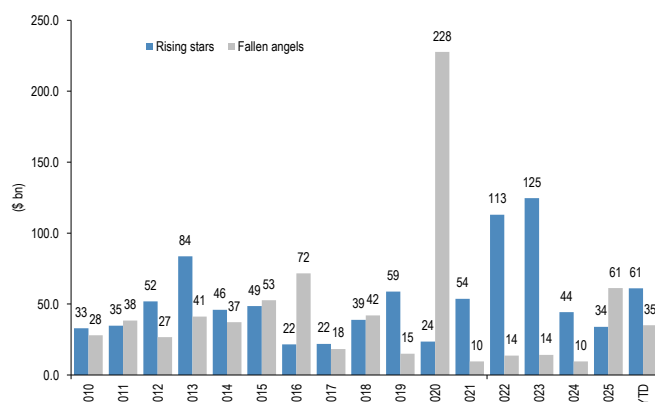
Source: J.P. Morgan; Moody's Investors Service; S&P

High Yield Rising Stars and Fallen Angels

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26	MTD	YTD	Last week	Curr. Week
By number of issuers																
Rising stars	20	15	24	23	9	26	27	23	25	20	9	7	1	23	1	0
Fallen angels	25	21	13	10	52	10	13	12	10	9	2	1	1	5	0	0
Rising star/fallen angel ratio	0.8	0.7	1.8	2.3	0.2	2.6	2.1	1.9	2.5	2.2	4.5	7.0	1.0	4.6	-	-
By dollar volume (\$bn)																
Rising stars	21.6	22.0	38.9	58.9	23.6	53.7	113.0	124.7	44.3	33.9	27.4	19.3	0.5	61.0	0.5	0.0
Fallen angels	71.6	18.4	42.0	15.1	227.7	9.6	13.6	14.2	9.6	61.3	16.7	14.7	1.5	35.1	0.0	0.0
Rising star/fallen angel ratio	0.3	1.2	0.9	3.9	0.1	5.6	8.3	8.8	4.6	0.6	1.6	1.3	0.3	1.7	-	-

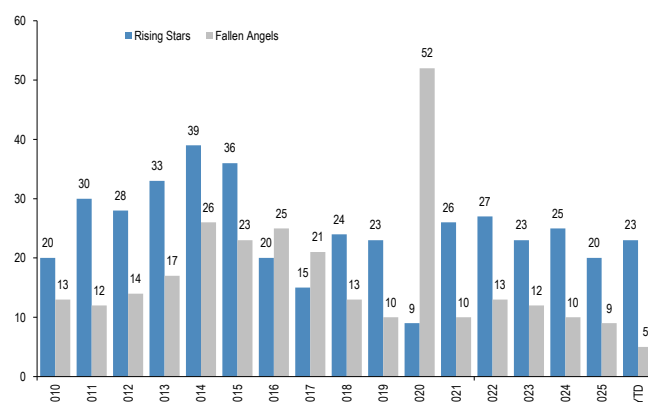
Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Rising stars and fallen angels (par amount)



Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Rising stars and fallen angels (issuer)



Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Fallen angel bonds to be added to J.P. Morgan High Yield Bond Index

Issuer	Par (\$mn)	MDY	SP	Fitch	Industry	Approx. HY Bond Index Weight	Inclusion Date	No. of Bonds
Leggett & Platt	1,500.0	Ba3	BB	BB+	Consumer Products	0.09%	10/3/2026	3

Source: J.P. Morgan; Moody's Investors Service; S&P; Fitch

Note: If a bond is downgraded to high yield (fallen angels), it is added to the index subject to a seasoning period – it is added to index the first business day of the month closest to 30 days following the downgrade to high yield. If a bond is upgraded to investment grade (rising star), it is immediately removed from the index.

High Yield Index Profile

Summary Profile of J.P. Morgan High Yield Indices

	HY Bond	Global	Devel.	US	Dev BB	Inst'l	Liquid	Euro	Sterling	Euro. Curr	Euro. Agg.
Market value (bn)	\$1,464.0	\$1,121.6	\$1,028.6	\$927.7	\$565.5	\$825.5	\$225.7	€290.2	£26.2	84.4	334.3
Number of issues	1,927	1,507	1,338	1,195	693	999	98	188	58	136	543
Number of issuers	864	1,042	907	805	455	690	98	188	47	100	384
Average rating	Split BB	Split BB	Split BB	Split BB	BB	Split BB	Split BB	Split BB	B	Split BB	Split BB
Yield to worst	8.10%	10.41%	8.22%	8.12%	6.98%	7.37%	8.14%	8.08%	8.89%	9.76%	7.52%
Spread to worst	312bp	328bp	326bp	315bp	199bp	241bp	315bp	310bp	396bp	477bp	364bp
Current yield	7.12%	7.40%	7.36%	7.28%	6.45%	6.94%	7.60%	7.36%	8.08%	8.11%	6.52%
Coupon	6.77%	7.07%	7.04%	6.97%	5.15%	6.79%	7.35%	7.03%	7.79%	7.52%	6.21%
Avg Price	94.71	94.95	95.42	95.43	97.29	97.74	96.81	95.68	95.10	92.03	94.30
Yield to worst date	4.22 yrs	4.31 yrs	4.18 yrs	4.18 yrs	4.54 yrs	4.21 yrs	4.30 yrs	3.90 yrs	3.13 yrs	3.97 yrs	3.56 yrs
Duration	3.39 yrs	3.39 yrs	3.37 yrs	3.37 yrs	3.67 yrs	3.42 yrs	3.45 yrs	3.18 yrs	2.53 yrs	3.16 yrs	2.99 yrs

Source: J.P. Morgan.

Summary Profile of J.P. Morgan High Yield Index

	Market Weight	Market value (bn)	No. of issues	STW	YTW	YTM	Current Yield	YTW Date	Duration	Average Rating
J.P. Morgan HY Bond Index by industry										
Automotive	4.40%	\$64.4	92	264bp	7.58%	7.68%	6.90%	3.63 yrs	3.01 yrs	Split BB
Broadcasting	2.23%	\$32.6	42	466bp	9.65%	9.74%	7.74%	4.32 yrs	3.44 yrs	B
Cable and Satellite	5.14%	\$75.2	68	726bp	12.22%	12.61%	7.82%	3.67 yrs	2.99 yrs	Split BB
Chemicals	3.29%	\$48.1	78	291bp	7.90%	7.98%	6.84%	4.58 yrs	3.55 yrs	Split BB
Consumer Products	2.26%	\$33.1	64	319bp	8.21%	8.32%	6.80%	4.74 yrs	3.60 yrs	Split BB
Diversified Media	3.20%	\$46.9	61	359bp	8.55%	8.65%	7.55%	6.56 yrs	4.48 yrs	Split BB
Energy	11.19%	\$163.8	233	195bp	6.90%	7.14%	7.16%	4.17 yrs	3.35 yrs	Split BB
Financial	10.92%	\$159.8	216	319bp	8.16%	8.26%	7.39%	4.02 yrs	3.27 yrs	Split BB
Food and Beverages	3.08%	\$45.0	59	242bp	7.42%	7.45%	6.38%	4.51 yrs	3.67 yrs	Split BB
Gaming Lodging and Leisure	6.59%	\$96.5	135	248bp	7.44%	7.50%	6.42%	3.90 yrs	3.25 yrs	Split BB
Healthcare	8.25%	\$120.8	123	252bp	7.49%	7.58%	6.63%	3.79 yrs	3.16 yrs	Split BB
Housing	4.12%	\$60.3	101	336bp	8.38%	8.42%	6.88%	4.46 yrs	3.64 yrs	Split BB
Industrials	5.08%	\$74.4	97	201bp	6.94%	7.11%	6.73%	4.20 yrs	3.42 yrs	Split BB
Metals and Mining	2.76%	\$40.4	68	225bp	7.23%	7.39%	6.91%	4.46 yrs	3.62 yrs	Split BB
Paper and Packaging	2.26%	\$33.1	49	405bp	9.00%	9.12%	7.59%	3.48 yrs	2.87 yrs	B
Retail	2.48%	\$36.3	66	237bp	7.38%	7.42%	6.68%	5.14 yrs	3.98 yrs	Split BB
Services	5.55%	\$81.2	110	276bp	7.72%	7.78%	6.74%	3.76 yrs	3.13 yrs	Split BB
Technology	9.77%	\$143.0	136	397bp	8.93%	9.02%	7.83%	4.08 yrs	3.28 yrs	Split BB
Telecommunications	2.33%	\$34.1	37	520bp	10.26%	10.30%	8.26%	5.64 yrs	4.20 yrs	B
Transportation	2.01%	\$29.5	42	289bp	8.19%	8.31%	7.98%	3.57 yrs	2.96 yrs	Split BB
Utility	3.09%	\$45.3	50	188bp	6.90%	6.95%	6.33%	5.10 yrs	4.09 yrs	Split BB
J.P. Morgan HY Bond Index by rating										
Split BBB	1.34%	\$19.7	29	145bp	6.37%	6.42%	5.57%	4.18 yrs	3.39 yrs	
BB	54.08%	\$791.7	993	191bp	6.89%	6.96%	6.30%	4.56 yrs	3.67 yrs	
Split BB	4.44%	\$65.0	94	223bp	7.17%	7.31%	6.74%	3.75 yrs	3.10 yrs	
B	30.88%	\$452.1	573	321bp	8.14%	8.35%	7.81%	3.87 yrs	3.10 yrs	
Split B	2.29%	\$33.5	51	472bp	9.52%	9.66%	8.80%	3.80 yrs	3.03 yrs	
CCC/Split CCC	6.14%	\$89.9	159	1190bp	16.92%	17.00%	9.91%	3.58 yrs	2.78 yrs	
Not Rated	0.61%	\$9.0	16	573bp	10.79%	10.90%	9.87%	3.91 yrs	3.08 yrs	

Source: J.P. Morgan.

Leveraged Loan Index Profile

Summary Profile of J.P. Morgan Leveraged Loan Indices

	Leveraged Loan	Liquid	Second Lien	BB/B	EUR/GBP
Market Value (\$mn)	1,541,807	570,358	22,203	1,421,734	400,612
Number of Loans	1,372	195	68	1,169	432
Number of Borrowers	1,217	195	67	1,048	372
Average Rating	Split BB	Split BB	Split B/CCC	Split BB	B
Margin	S+312	S+285	S+653	S+298	S+355
Current Yield	7.32%	6.92%	13.99%	6.96%	6.58%
Years to Maturity	4.70 yrs	4.97 yrs	4.17 yrs	4.85 yrs	4.67 yrs
Average Price	95.73	96.88	75.53	98.12	95.58
Yield	9.50%	8.76%	21.53%	8.45%	8.92%
Spread	480bp	406bp	1683bp	375bp	536bp
DM	542bp	468bp	1746bp	437bp	589bp

Source: J.P. Morgan; S&P/IHS Markit

Note: Yield, spread and DM are to 3-year takeout and based on forward curve analytics

Summary Profile of J.P. Morgan Leveraged Loan Index

	Market	Market	No. of		Current		Avg.	To 3-year takeout (Forward Curve)		
	Weight	value (bn)	issues	Margin	Yield	Maturity	Price	Yield	Spread	DM
J.P. Morgan Leveraged Loan Index by industry										
Automotive	3.12%	\$48.2	41	S+314	7.27%	4.81 yrs	96.58	9.18%	448bp	508bp
Broadcasting	0.99%	\$15.2	20	S+360	7.98%	3.98 yrs	94.79	10.42%	572bp	632bp
Cable and Satellite	1.48%	\$22.8	23	S+314	7.45%	4.11 yrs	94.16	10.39%	569bp	627bp
Chemicals	3.59%	\$55.3	61	S+325	7.55%	4.41 yrs	94.96	9.97%	527bp	589bp
Consumer Products	2.56%	\$39.5	47	S+342	7.44%	4.16 yrs	98.40	9.02%	433bp	493bp
Diversified Media	4.19%	\$64.6	41	S+345	7.54%	5.33 yrs	97.49	9.23%	453bp	515bp
Energy	2.64%	\$40.8	41	S+287	6.68%	5.34 yrs	99.98	7.54%	284bp	346bp
Financial	9.67%	\$149.1	103	S+282	6.79%	5.01 yrs	97.80	8.32%	361bp	424bp
Food and Beverages	4.61%	\$71.1	70	S+297	7.12%	4.71 yrs	96.50	8.90%	420bp	482bp
Gaming/Lodg./Leisure	5.39%	\$83.1	68	S+286	6.83%	4.48 yrs	98.10	8.27%	357bp	418bp
Healthcare	11.72%	\$180.7	140	S+328	7.37%	4.88 yrs	96.96	9.15%	445bp	507bp
Housing	3.36%	\$51.8	50	S+293	7.43%	4.97 yrs	92.23	10.95%	625bp	686bp
Industrials	7.07%	\$108.9	100	S+289	6.93%	4.99 yrs	97.95	8.06%	335bp	397bp
Metals and Mining	0.48%	\$7.4	12	S+304	6.88%	4.93 yrs	100.17	7.68%	298bp	361bp
Paper and Packaging	3.71%	\$57.3	49	S+346	7.55%	4.99 yrs	97.62	9.08%	438bp	501bp
Retail	2.49%	\$38.4	39	S+314	7.24%	4.70 yrs	96.90	9.11%	441bp	503bp
Services	11.23%	\$173.2	161	S+308	7.32%	4.60 yrs	95.29	9.59%	489bp	551bp
Technology	14.41%	\$222.2	193	S+340	8.13%	4.10 yrs	90.06	12.29%	760bp	820bp
Telecommunications	1.33%	\$20.6	19	S+420	9.53%	3.86 yrs	86.21	16.29%	1160bp	1221bp
Transportation	2.94%	\$45.3	40	S+264	6.51%	4.60 yrs	99.17	7.76%	306bp	368bp
Utility	3.02%	\$46.5	54	S+241	6.34%	5.32 yrs	99.31	7.38%	268bp	330bp
J.P. Morgan Leveraged Loan Index by rating										
BBB	4.72%	\$72.8	50	S+189	5.73%	5.24 yrs	99.71	6.69%	199bp	261bp
Split BBB	2.16%	\$33.3	30	S+183	5.64%	5.02 yrs	99.95	6.55%	184bp	247bp
BB	22.28%	\$343.5	299	S+239	6.27%	5.07 yrs	99.58	7.26%	256bp	318bp
Split BB	4.16%	\$64.1	61	S+284	6.74%	4.81 yrs	98.88	8.07%	337bp	399bp
B	58.89%	\$907.9	729	S+334	7.39%	4.73 yrs	97.34	9.14%	444bp	506bp
Split B/CCC	5.43%	\$83.8	144	S+460	12.22%	2.73 yrs	69.29	25.43%	2076bp	2133bp
Not Rated	2.29%	\$35.2	55	S+521	9.76%	3.20 yrs	92.39	13.10%	842bp	902bp

Source: J.P. Morgan.; S&P/IHS Markit

25 September 2026

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Completed 25 Sep 2026 04:21 PM EDT

Disseminated 25 Sep 2026 04:38 PM EDT